
Cambridge International AS Level

BUSINESS 9609

Advanced Revision Examination Papers

MARK SCHEME & MODEL ANSWERS

For examination in October / November 2026

Detailed indicative content, worked calculations and level descriptors

How to use this mark scheme

- Short-answer parts show the knowledge and application points expected, with the marks attached to each point.
- Essay and higher-tariff data-response parts use Cambridge-style Levels of Response (AO1 Knowledge, AO2 Application, AO3 Analysis, AO4 Evaluation). Award the level that best fits the response.
- Indicative content is not exhaustive; accept any valid, well-argued alternative supported by the context.
- All numerical answers are worked in full so method marks can be awarded even where a final figure is incorrect (own-figure rule).

PAPER 1 – MARK SCHEME**Enterprise: business activity, entrepreneurs & business plans****Section A – Short-answer questions****Q1**

(a) Define the term 'opportunity cost'.

[3]

- The benefit lost / next best alternative foregone (1) when a choice is made / a scarce resource is allocated to one use (1) rather than another (1).

(b) Explain, using an example, why opportunity cost is important to an entrepreneur with limited capital.

[5]

- Resources (capital) are finite, so every spending decision means an alternative is sacrificed (application of scarcity).
- Example: spending \$20,000 on a delivery van means the same funds cannot be spent on a marketing campaign that might raise sales.

Marks

- 1–2 for understanding of scarcity/choice; up to 3 further marks for applied explanation with a relevant worked example.

Q2

(a) State the four factors of production.

[2]

- Land (1/2), labour (1/2), capital (1/2) and enterprise (1/2).

(b) Analyse how a new coffee-shop combines the four factors of production to add value.

[6]

- Land: the retail site/premises and raw materials (coffee beans, milk).
- Labour: baristas who prepare drinks and provide service.
- Capital: espresso machines, furniture, till systems.
- Enterprise: the owner who organises the other three and bears the risk.
- Combining them transforms low-value inputs (beans + water) into a higher-value finished drink customers will pay a premium for – this is added value.

Level 2 (4-6)

Clear analysis linking each factor to the process of adding value in the coffee-shop context.

Level 1 (1-3)

Factors identified/described with limited link to adding value.

Q3

(a) Define 'adding value'.

[3]

- The difference between the price a customer pays and the cost of the bought-in inputs/materials used to make the product (2). It reflects the extra worth created by the business (1).

(b) Explain two ways a smartphone manufacturer could increase the value it adds.

[5]

- Stronger branding/design so customers pay a premium (e.g. a recognised premium brand).
- Improved features/USP (better camera, longer battery) allowing a higher price.
- Lowering input costs through bulk buying without cutting price.

Marks

- 1 mark identification + up to 1–2 development for each of two ways (max 5).

Q4

(a) Define 'enterprise' as a factor of production.

[2]

- The willingness and ability of an entrepreneur (1) to organise the other factors of production and take the risk of producing goods/services for profit (1).

(b) Explain two qualities an entrepreneur needs to succeed.

[6]

- Risk-taking/resilience – willing to commit resources despite uncertain returns and recover from setbacks.
- Innovation/creativity – spots gaps in the market and develops new solutions.
- Determination, self-confidence, effective multi-tasking or leadership are equally valid.

Marks

- Up to 3 marks per quality: 1 for identification, 2 for developed explanation of why it aids success.

Q5

(a) Distinguish between risk and uncertainty.

[4]

- Risk: an outcome that can be identified and the probability estimated/insured against (2).
- Uncertainty: unpredictable events that cannot be foreseen or measured, e.g. a sudden change in government policy or a pandemic (2).

(b) Explain one way an entrepreneur could reduce business risk.

[3]

- Market research to test demand before committing (reduces likelihood of unsold output).
- Or: writing a business plan, insurance, starting small/pilot. 1 mark method + up to 2 development.

Q6

(a) Define 'intrapreneurship'.

[3]

- Employees within an existing business (1) behaving like entrepreneurs – taking initiative, innovating and developing new ideas/products (1) using company resources, without bearing personal financial risk (1).

(b) Analyse how intrapreneurship can contribute to the ongoing success of an established business.

[6]

- Generates a flow of new products/processes that keep the firm competitive as markets change.
- Improves motivation and retention of talented staff (empowerment, ownership of ideas).
- Helps a large business remain dynamic and avoid complacency/decline.

Level 2 (4-6)

Developed chains of analysis linking intrapreneurship to sustained competitiveness.

Level 1 (1-3)

States benefits with limited development.

Q7

(a) State two barriers to entrepreneurship.

[2]

- Any two: lack of finance/capital; lack of business skills or experience; high competition; fear of failure; complex regulation/red tape; lack of a viable idea; limited access to markets.

(b) Explain how a lack of finance acts as a barrier to entrepreneurship.

[4]

- Start-ups need capital for premises, equipment and initial stock, plus cash for early losses.
- Without savings, collateral or a track record, lenders/investors are reluctant, so the venture may never launch or is under-resourced and fails.
- 1–2 for identification, up to 2 further for developed chain of reasoning.

Q8

(a) Define 'business plan'.

[2]

- A written document (1) setting out a business idea, its objectives and how they will be achieved – including marketing, operations and financial forecasts (1).

(b) Explain two benefits of writing a business plan before starting up.

[6]

- Helps secure finance: lenders/investors assess viability from forecasts.
- Clarifies objectives and identifies risks/resource needs before money is committed.
- Acts as a benchmark to monitor performance against once trading.

Marks

- Up to 3 marks per benefit (identification + development).

Q9

(a) *Distinguish between a multinational business and a national business.*

[4]

- National: operates (produces/sells) within one country only (2).
- Multinational: has production/operating facilities in more than one country, not merely exporting (2).

(b) *Explain one reason a business may become multinational.*

[3]

- Access to larger markets/sales growth; lower production costs (cheaper labour/materials); avoid tariffs/trade barriers; spread risk. 1 mark reason + 2 development.

Q10

(a) *Identify two reasons why businesses fail.*

[2]

- Any two: poor cash-flow/liquidity management; lack of finance; poor management; insufficient market research/no demand; strong competition; over-expansion; external shocks.

(b) *Analyse why a shortage of cash is often a more immediate cause of failure than low profit.*

[6]

- A profitable business can still run out of cash (e.g. cash tied up in receivables or inventory) and be unable to pay suppliers/wages/loans.
- Insolvency triggers legal action, loss of supplier credit and ultimately liquidation – quickly.
- Low profit is a longer-term/structural problem that can be corrected over time if cash continues to flow.

Level 2 (4-6)

Analyses the cash-vs-profit distinction and links liquidity to survival.

Level 1 (1-3)

Describes cash and profit with limited analysis of urgency.

Section B – Essay questions**Q11**

(a) *Analyse the role of the entrepreneur in creating and starting up a business.*

[8]

- Spots an opportunity/gap and develops the business idea (innovation).
- Organises/combines the factors of production and writes the business plan.
- Raises finance and bears the financial risk of the venture.
- Makes key start-up decisions (location, product, pricing) and provides leadership.

Level 3 (6-8)

Well-developed analysis of several roles, applied and logically sequenced.

Level 2 (3-5)

Some analysis of the entrepreneur's roles.

Level 1 (1-2)

Identifies roles with little development.

(b) *'The single most important quality for entrepreneurial success is a willingness to take risks.' Evaluate this view.*

[12]

- For: risk-taking is essential to commit resources under uncertainty; without it no venture begins.
- Against: determination, innovation, financial literacy, leadership and effective market research may matter more; reckless risk-taking causes failure.
- It depends on the industry, the stage of the business and the individual; calculated (not blind) risk-taking is what matters.

Level 4 (10-12)

Balanced evaluation, supported judgement on the relative importance of qualities, with context.

Level 3 (7-9)

Balanced discussion, some judgement.

Level 2 (4-6)

Two-sided but limited development / no real judgement.

Level 1 (1-3)

One-sided or assertion only.

Q12

(a) Analyse how the factors of production are used to add value in a manufacturing business.

[8]

- Land/raw materials transformed via labour and capital (machinery) organised by enterprise.
- Each stage of the transformation raises worth: raw input -> work-in-progress -> finished good.
- Value added = selling price minus bought-in inputs; efficient use of factors raises it.

Level 3 (6-8)

Developed, applied analysis of the transformation/value-adding process.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identification only.

(b) Evaluate the importance of a business plan to an entrepreneur seeking external finance.

[12]

- For: evidences viability, forecasts repayment ability, reduces perceived lender risk, may be a condition of a loan/grant.
- Against: forecasts are only estimates and may be over-optimistic; lenders also weigh collateral, credit history and the entrepreneur's track record; a plan does not guarantee funding or success.
- Judgement: important but not sufficient on its own; value depends on realism of the plan and the type of finance sought.

Level 4 (10-12)

Supported judgement with balanced argument and context.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Two-sided, limited.

Level 1 (1-3)

One-sided/assertion.

Q13

(a) Analyse the barriers to entrepreneurship a person starting a business in a low-income country might face.

[8]

- Limited access to finance (few lenders, no collateral, high interest, undeveloped capital markets).
- Poor infrastructure (power, transport, internet) raising costs and limiting reach.
- Low skills/education base; limited managerial experience.
- Bureaucracy/corruption and unstable legal or political environment; small local purchasing power.

Level 3 (6-8)

Developed, contextual analysis of several barriers.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Lists barriers.

(b) Evaluate the contribution of business enterprise to the economic development of a country.

[12]

- For: creates jobs and incomes, raises output/GDP, increases tax revenue, drives innovation, reduces import dependence, develops skills, can attract investment.
- Against: many start-ups fail; benefits may be uneven (regional/income inequality); possible negative externalities (pollution, exploitation); informal-sector enterprise may avoid tax.
- Judgement: enterprise is a significant driver of development but must be supported by education, infrastructure and stable governance to realise its potential.

Level 4 (10-12)

Balanced, supported judgement with development-context.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited two-sided.

Level 1 (1-3)

One-sided.

Q14

(a) *Analyse why a dynamic business environment creates both opportunities and threats for entrepreneurs.*

[8]

- Change (technology, consumer tastes, competition, regulation, economy) continually reshapes markets.
- Opportunities: new products/markets, e-commerce reach, first-mover advantage.
- Threats: disruption of existing products, new competitors, rising costs, obsolescence.

Level 3 (6-8)

Developed analysis of change producing both effects.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identification only.

(b) *'Businesses fail mainly because of factors outside the entrepreneur's control.' Evaluate this statement.*

[12]

- For external factors: recession, rising interest rates, new legislation, pandemics, competitor actions, supplier failure.
- For internal factors: poor cash-flow control, weak management, inadequate research, over-trading, wrong pricing – all controllable.
- Judgement: external shocks trigger failure but well-managed firms with cash reserves and planning survive them; internal weakness usually decisive. Depends on severity of shock and firm resilience.

Level 4 (10-12)

Supported judgement, balanced, contextual.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Amara's craft kombucha start-up

Q15

Define the term 'added value' (as used by Amara).

[2]

- Difference between selling price and cost of bought-in inputs/materials (2).

Q16

Using Table 1, calculate the value added per bottle by LiveCulture.

[3]

Bought-in materials = ingredients \$0.70 + packaging \$0.35 = \$1.05

Added value = price \$3.00 - \$1.05 = \$1.95 per bottle

- Accept \$1.95 (2 method + 1 answer). If labour/other variable also deducted and clearly labelled as contribution, note distinction: contribution = \$3.00 - \$1.70 = \$1.30.

Q17

Explain, using the concept of opportunity cost, the true cost to Amara of leaving her job to start LiveCulture.

[4]

- Opportunity cost = next best alternative foregone.
- By leaving, Amara sacrifices her \$42,000 salary (and job security) – an implicit cost not shown in the accounts.
- Her \$25,000 savings also lose the interest/return they could have earned elsewhere.
- 1–2 for concept, up to 2 for applied figures.

Q18

Analyse two qualities Amara has shown that are associated with successful entrepreneurs.

[6]

- Risk-taking: left a secure salaried job and committed \$25,000 savings plus a \$30,000 loan.
- Planning/organisation: wrote a detailed business plan; combines factors of production.
- Innovation/marketing insight: builds added value through branding and a health image.

Level 2 (4-6)

Two qualities analysed with clear use of the case.

Level 1 (1-3)

Identifies qualities, limited application.

Q19

Analyse why LiveCulture was profitable yet almost ran out of cash in its first year.

[8]

- Profit is revenue minus expenses (accruals); cash is actual money in/out and timing differs.
- Cafes pay 60 days after delivery (trade receivables) so cash is tied up while Amara must pay ingredients, wages and the loan now.
- Loan repayments and stock-building consume cash but are not full expenses of the period.
- Year-end cash of only \$1,900 shows a liquidity problem despite \$26,000 profit – risk of insolvency.

Level 3 (6-8)

Developed analysis of the cash-vs-profit gap using case data (receivables, timing).

Level 2 (3-5)

Some analysis of the distinction.

Level 1 (1-2)

States cash != profit.

Q20

Amara must decide whether to accept the supermarket order. Recommend whether she should accept it.

[12]

Justify your answer using the case and your knowledge.

Case for accepting

- Large sales/scale increase, economies of scale, higher brand exposure, long-term growth.

Case against / risks

- Requires a further loan (rising debt/interest) when cash is already tight; supermarkets demand low prices and long credit terms, worsening the cash-flow gap; capacity and quality risk; dependence on one powerful customer.

Judgement

- A supported decision, e.g. accept only if payment terms/an overdraft facility are negotiated to protect liquidity, or grow more slowly; recognise the existing cash-flow weakness is the key constraint.

Level 4 (10-12)

Balanced, uses case data, clear justified recommendation.

Level 3 (7-9)

Balanced, some judgement, some application.

Level 2 (4-6)

Two-sided, limited application/judgement.

Level 1 (1-3)

One-sided/assertion.

PAPER 2 – MARK SCHEME

Business structure and the size of business

Section A – Short-answer questions

Q1

(a) Define 'tertiary sector'.

[2]

- The sector providing services (1) to businesses and consumers, e.g. retail, banking, transport, insurance (1).

(b) Explain two reasons why the relative importance of the secondary sector has declined in many high-income economies.

[6]

- De-industrialisation: manufacturing shifts to lower-cost countries (globalisation).
- Rising incomes raise demand for services (tourism, finance, leisure).
- Automation reduces manufacturing employment; growth of the quaternary/knowledge economy.

Marks

- Up to 3 per reason (identification + development).

Q2

(a) Distinguish between the private sector and the public sector.

[4]

- Private sector: owned/controlled by private individuals or shareholders, usually profit-motivated (2).
- Public sector: owned/controlled by the government, usually providing public services (2).

(b) Explain one consequence of a business moving from the public to the private sector (privatisation).

[3]

- Greater profit motive/efficiency incentive, access to private finance, but possible job losses or higher prices. 1 mark + 2 development.

Q3

(a) Define 'unlimited liability'.

[2]

- The owner(s) are personally responsible for all business debts (1); personal assets can be used to settle them (1).

(b) Analyse why unlimited liability may discourage a sole trader from expanding.

[6]

- Expansion often requires borrowing/greater risk; losses could cost the owner personal assets (home, savings).
- This deters risk-taking and limits access to external equity (cannot sell shares).
- Fear of personal ruin may cap the scale the owner is willing to reach.

Level 2 (4-6)

Developed analysis linking unlimited liability to reluctance to grow.

Level 1 (1-3)

States the idea with limited development.

Q4

(a) State two features of a private limited company (Ltd).

[2]

- Any two: shares not sold to the public/traded on a stock exchange; shares transferred privately with agreement; separate legal identity; limited liability; must file accounts.

(b) Explain two advantages of forming a private limited company rather than remaining a partnership.

[6]

- Limited liability protects owners' personal assets.
- Easier to raise capital by issuing shares to family/investors.
- Continuity – separate legal identity survives death of an owner.

Marks

- Up to 3 per advantage.

Q5

(a) Define 'franchise'.

[3]

- An arrangement where the franchisee buys the right (1) to use an established business's name, products and format (1) in return for a fee/royalty (1).

(b) Explain one drawback of buying a franchise for the franchisee.

[3]

- Loss of independence/must follow rules; ongoing royalties reduce profit; reputation depends on other franchisees. 1 + 2 development.

Q6

(a) State two methods of measuring the size of a business.

[2]

- Any two: number of employees; revenue/sales turnover; capital employed; market share; market capitalisation; value of output.

(b) Analyse why different methods of measuring business size can give conflicting results.

[6]

- A capital-intensive firm (e.g. oil refinery) has high capital employed but few employees.
- A labour-intensive firm (e.g. call centre) employs many but has modest turnover.
- So 'largest' depends on the measure chosen; no single measure is best.

Level 2 (4-6)

Analyses contradictions with examples.

Level 1 (1-3)

Lists methods, limited analysis.

Q7

(a) Define 'social enterprise'.

[3]

- A business that trades to achieve social/environmental objectives (1) as well as financial ones (1), typically reinvesting surpluses to further its mission (1).

(b) Explain one difference between the objectives of a social enterprise and a plc.

[3]

- Social enterprise pursues a triple bottom line (social/environmental as well as profit); a plc typically prioritises shareholder profit/return. 1 + 2.

Q8

(a) Distinguish between a merger and a takeover.

[4]

- Merger: two firms agree to combine into one new entity (2).
- Takeover: one firm acquires a controlling interest in another, which may be friendly or hostile (2).

(b) Identify and explain one example of vertical (backward) integration.

[3]

- A manufacturer buying its raw-material supplier (e.g. a coffee chain buying a coffee plantation) to secure supply/reduce costs. 1 example + 2 development.

Q9

(a) Define 'organic (internal) growth'.

[2]

- Expansion of a business using its own resources (1) – e.g. more outlets, new products – rather than by merger/takeover (1).

(b) Explain two advantages of organic growth compared with growth by takeover.

[6]

- Lower risk/less disruption; growth at a manageable pace.
- Avoids the high cost and culture-clash problems of acquisitions.
- Easier to maintain control and existing culture.

Marks

- Up to 3 per advantage.

Q10

(a) *State two strengths of a family business.*

[2]

- Any two: strong commitment/loyalty; long-term outlook; trust/shared values; lower agency costs; quick decision-making; reputation continuity.

(b) *Analyse one weakness a family business may face as it grows.*

[6]

- Succession conflict / roles given by family ties not merit, limiting professional management.
- Difficulty raising capital without diluting family control.
- Emotional decisions/conflict can harm the business.

Level 2 (4-6)

Developed analysis of a growth-related weakness.

Level 1 (1-3)

States a weakness, limited development.

Section B – Essay questions**Q11**

(a) *Analyse the reasons why small businesses continue to survive alongside large firms in many industries.*

[8]

- Serve niche markets too small for large firms; personal/flexible service.
- Local knowledge, close customer relationships, rapid response.
- Some industries have few economies of scale (crafts, personal services).
- Act as suppliers/subcontractors to large firms.

Level 3 (6-8)

Developed analysis of several survival factors, applied.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Lists reasons.

(b) *Evaluate whether limited liability is the most important factor when choosing a form of business ownership.*

[12]

- For: protects personal assets, encourages investment/risk-taking, aids raising capital.
- Against: other factors may matter more – control, cost/complexity of setup, tax, privacy of accounts, ability to raise finance, continuity, nature/size of business.
- Judgement: importance depends on the risk of the venture and owner's circumstances; for high-risk/capital-hungry ventures liability is key, for a small low-risk trader control/simplicity may dominate.

Level 4 (10-12)

Balanced, supported judgement with context.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited two-sided.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse how a horizontal merger could benefit two competing supermarket chains.*

[8]

- Increased market share/market power and reduced competition.
- Economies of scale (purchasing, distribution, marketing) lowering unit costs.
- Rationalisation of duplicated functions/sites; wider geographic coverage.

Level 3 (6-8)

Developed, applied analysis of merger benefits.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identification.

(b) Evaluate the impact of a hostile takeover on the stakeholders of the target business.

[12]

- Employees: job losses/uncertainty vs possible investment and new opportunities.
- Shareholders: often a premium price vs loss of independence.
- Managers: may be replaced; customers/suppliers: changed terms, prices, standards.
- Judgement: impact varies by stakeholder and depends on acquirer intentions and integration; often negative short-term for staff, mixed long-term.

Level 4 (10-12)

Balanced across stakeholders with judgement.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse the reasons for the growing importance of the quaternary sector in developed economies.

[8]

- Knowledge/information economy: R&D, ICT, consultancy, education.
- Technological change and digitalisation create high-value services.
- Rising incomes and demand for innovation; competitive advantage from knowledge.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identification.

(b) A successful sole trader is considering converting to a public limited company (plc). Evaluate this decision.

[12]

- For: access to large-scale equity finance via stock market, limited liability, status, ability to grow.
- Against: loss of control (dilution, possible takeover), heavy regulation/disclosure costs, short-termism/shareholder pressure, divorce of ownership and control, flotation cost.
- Judgement: appropriate only if large capital is genuinely needed and the owner accepts reduced control; otherwise an Ltd may be a better intermediate step.

Level 4 (10-12)

Balanced, supported judgement, contextual.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse the importance of joint ventures and strategic alliances as methods of external growth.

[8]

- Share costs, risks and expertise on a specific project without full merger.
- Access to new markets/local knowledge (esp. entering foreign markets).
- Retain independence; faster than organic growth.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) 'Growth by takeover rarely achieves its objectives.' Evaluate this view.***[12]**

- For: culture clashes, overpayment, integration problems, diseconomies of scale, loss of key staff, distraction of management.
- Against: can succeed – synergies, market power, economies of scale, faster growth, acquiring capability/brands.
- Judgement: success depends on due diligence, price paid, integration planning and strategic fit; many fail but well-planned deals add value. Depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: GreenRoots grows up**Q15***Define the term 'private limited company (Ltd)'.***[2]**

- A company with limited liability whose shares are not traded publicly/are transferred privately (2).

Q16*Identify the type of integration involved if GreenRoots takes over FarmFresh, and justify your answer.***[3]**

- Horizontal integration (1) – both operate at the same stage of the same industry (organic food delivery) (2).

Q17*Using Table 1, explain one reason GreenRoots might be attractive to a stock-market investor compared with FarmFresh.***[4]**

- Higher net profit margin (7% vs 3%) indicates stronger profitability/efficiency.
- Larger revenue and wider coverage suggest a stronger, more scalable business.
- 1–2 use of data + 2 explanation.

Q18*Analyse two benefits to GreenRoots of the joint venture (Option 2) rather than the takeover (Option 1).***[6]**

- Shares costs/risk of national expansion with a large, resourced partner.
- Access to the supermarket's customers, logistics and brand – faster reach.
- Retains independence; avoids buying FarmFresh's ageing vehicles/low margins.

Level 2 (4-6)

Two benefits analysed using the case.

Level 1 (1-3)

Identifies benefits, limited application.

Q19*Analyse the likely impact on GreenRoots' stakeholders if it becomes a plc.***[8]**

- Directors/owners: raise capital and gain status but dilute control and risk takeover.
- Employees: growth may bring jobs/opportunities but also restructuring pressure.

- Customers: possible price/quality changes from shareholder pressure for profit.
- New shareholders: gain influence and returns but bear market risk.

Level 3 (6-8)

Developed analysis across stakeholders, applied.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identifies stakeholders.

Q20

Recommend which growth option (takeover, joint venture, or plc flotation) GreenRoots should pursue to achieve national expansion. Justify your recommendation.

[12]**Weigh each option**

- Takeover: quick northern coverage but low-margin target and old assets; integration risk.
- Joint venture: fast national reach, shared risk, but shared profit and possible loss of brand identity/dependence on the supermarket.
- Flotation: large capital and continued control of strategy but loss of ownership control, cost and regulation.

Judgement

- Supported choice using data (e.g. JV to reach national scale quickly while directors retain ownership, then float later); recognise the objective is national expansion within three years and the owners' wish to keep control.

Level 4 (10-12)

Balanced comparison, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 3 – MARK SCHEME

Business objectives and stakeholders

Section A – Short-answer questions

Q1

(a) Define 'mission statement'.

[2]

- A short statement of a business's core purpose/reason for existing (1) that guides its overall direction and values (1).

(b) Explain the relationship between a mission statement, objectives and tactics.

[6]

- Mission = overall purpose; aims = broad long-term goals derived from it.
- Objectives = specific measurable targets to achieve the aims (often SMART).
- Strategy = long-term plan to meet objectives; tactics = short-term actions implementing the strategy.

Level 2 (4-6)

Clear explanation of the hierarchy/links.

Level 1 (1-3)

Defines terms with limited linkage.

Q2

(a) State what 'SMART' objectives stands for.

[2]

- Specific, Measurable, Achievable, Realistic, Time-limited (all five for 2; 3–4 for 1).

(b) Explain why setting SMART objectives can improve business performance.

[5]

- Clear targets focus effort and aid coordination.
- Measurable/time-limited allows performance to be monitored and corrective action taken.
- Achievable/realistic targets motivate rather than demoralise staff.
- 1 per point developed, max 5.

Q3

(a) Define 'corporate social responsibility (CSR)'.

[3]

- The idea that a business should act ethically (1) and consider the impact of its decisions on society and the environment (1), beyond legal minimums and profit (1).

(b) Analyse one benefit and one cost to a business of adopting CSR.

[6]

- Benefit: improved reputation/brand loyalty, staff motivation, differentiation, avoiding regulation.
- Cost: higher operating costs (ethical sourcing, lower emissions) may raise prices/reduce short-term profit.

Level 2 (4-6)

Both sides analysed with development.

Level 1 (1-3)

Identifies a benefit/cost, limited development.

Q4

(a) Explain the term 'triple bottom line'.

[3]

- Measuring performance against three objectives: economic/financial profit (1), social impact (people) (1) and environmental impact (planet) (1).

(b) Explain one reason a business might struggle to meet all three parts of the triple bottom line.

[3]

- They can conflict – e.g. cutting emissions (environmental) raises costs and reduces profit (economic). 1 + 2 development.

Q5

(a) *Distinguish between an internal and an external stakeholder.*

[4]

- Internal: within the business – owners, managers, employees (2).
- External: outside but affected by/interested in it – customers, suppliers, government, local community (2).

(b) *Identify two rights of employees as stakeholders.*

[3]

- Any: fair pay, safe working conditions, contract/legal protection, consultation, non-discrimination. 1 each + 1 for a developed example.

Q6

(a) *Define 'stakeholder conflict'.*

[2]

- A situation where the aims of different stakeholder groups clash (1) so satisfying one group harms another (1).

(b) *Analyse how conflict might arise between shareholders and employees when a business tries to cut costs.*

[6]

- Shareholders want higher profit/dividends -> pressure to cut wages or jobs.
- Employees want secure jobs and good pay -> resist redundancies/pay freezes.
- Cost-cutting to satisfy shareholders can lower morale, productivity and industrial relations.

Level 2 (4-6)

Developed analysis of the conflict.

Level 1 (1-3)

States conflict, limited development.

Q7

(a) *State two objectives of a public-sector organisation.*

[2]

- Any two: provide a public service, meet social needs, control costs/stay within budget, serve all citizens, wider social welfare rather than profit.

(b) *Explain why the objectives of a public-sector hospital differ from those of a plc.*

[4]

- Hospital: service/welfare and access for all within budget; plc: profit/shareholder value. 1–2 each contrast, developed.

Q8

(a) *Define 'business ethics'.*

[2]

- Moral principles/values (1) that guide how a business behaves and makes decisions (1).

(b) *Explain how ethical considerations might influence a clothing firm's objectives.*

[5]

- May adopt objectives on fair wages/no child labour in the supply chain.
- Sustainable materials/reduced waste objectives.
- May sacrifice some short-term profit for long-term reputation/legality.
- Up to 5 for applied explanation.

Q9

(a) *Explain how business objectives might change as a business grows.*

[4]

- Start-up: survival/cash flow; established: growth/market share; mature: profit maximisation/shareholder value or CSR.
- Objectives change with the economy, competition and ownership.

(b) *Identify one way objectives are translated into targets for departments.*

[3]

- Via budgets and departmental/individual targets (e.g. a sales objective becomes a monthly sales budget/quota). 1 + 2.

Q10

(a) *State the stages of business decision-making.*

[3]

- Set objectives -> gather data/information -> analyse options -> make decision -> implement -> review/evaluate

against objectives (any logical sequence, 3 marks).

(b) Analyse the role of objectives in the decision-making process.

[6]

- Objectives provide the criteria against which options are judged.
- They guide data collection and focus analysis on relevant factors.
- They provide the benchmark for the review/evaluation stage.

Level 2 (4-6)

Developed analysis of objectives' role at each stage.

Level 1 (1-3)

States role, limited development.

Section B – Essay questions

Q11

(a) Analyse how a business might benefit from clearly communicating its objectives to its workforce.

[8]

- Improves direction/coordination and consistent decisions.
- Motivates staff (goal-setting, sense of purpose, participation).
- Enables measurement of performance and accountability.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'A business should always put its shareholders' interests first.' Evaluate this view.

[12]

- For: shareholders own/risk capital; profit funds investment and survival; legal duty in some regimes.
- Against: ignoring employees, customers, community and environment risks reputation, regulation, poor morale and long-term decline; stakeholder approach/CSR can raise long-term value.
- Judgement: depends on time horizon and ownership; balancing stakeholders often serves shareholders best in the long run.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced, some judgement.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how the relative power of different stakeholders can affect a business decision to close a factory.

[8]

- Shareholders/finance providers may push for closure to cut costs (high power).
- Employees/unions may resist through industrial action (power varies with unionisation).
- Local community/government may exert pressure (planning, grants, reputation).
- The most powerful/most affected groups shape the final decision.

Level 3 (6-8)

Developed analysis of relative influence.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether pursuing CSR objectives is worthwhile for a business operating in a very competitive market. **[12]**

- For: differentiation, customer loyalty, staff motivation, risk reduction, long-term reputation.
- Against: raises costs and prices when rivals compete on price; benefits are long-term/hard to measure; may not survive short-term price war.
- Judgement: depends on target market (ethical consumers?), cost structure and rivals; CSR can be a competitive advantage but must be affordable.

Level 4 (10-12)

Balanced, supported judgement, contextual.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse why a business's objectives may change over its life or with a change in the economic environment. **[8]**

- Start-up survival → growth → profit maximisation as it matures.
- Recession may shift focus to survival/cash; boom to growth/market share.
- New owners, competition or CSR pressures reshape objectives.

Level 3 (6-8)

Developed analysis with examples.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the importance to a business of accountability to its stakeholders. **[12]**

- For: builds trust, reduces conflict, meets legal/ethical duties, protects reputation and access to finance/labour.
- Against: accountability to many groups is costly, can slow decisions and create conflicting demands; some stakeholders have little power.
- Judgement: accountability matters most where stakeholder power/interest is high; selective, prioritised accountability is realistic.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse how translating objectives into budgets and targets can help a business monitor performance. **[8]**

- Budgets convert objectives into financial plans for departments.
- Actual results compared with budget reveal variances/problems early.
- Targets give individuals clear, measurable goals to be reviewed.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'Ethical behaviour and profitability cannot go together.' Evaluate this statement.

[12]

- For: ethics raise costs (fair wages, sustainable inputs), may reduce short-term profit or competitiveness on price.
- Against: ethics attract customers/staff, avoid fines/scandal, build long-term loyalty and can be a USP; unethical conduct risks reputational and legal disaster.
- Judgement: often a short-term cost but long-term benefit; depends on market and how ethics are managed. Not mutually exclusive.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Lumina Textiles and the closure decision

Q15

Define the term 'stakeholder'.

[2]

- Any individual or group with an interest in / affected by the activities of a business (2).

Q16

Identify two external stakeholders of Lumina affected by the closure decision.

[2]

- Any two: local community, local government, customers, suppliers, trade union (as external body), wider society.

Q17

Explain how the closure decision conflicts with Lumina's mission statement.

[4]

- Mission stresses 'responsibly'/ethical image, but closing the town's largest employer harms the community.
- Reputation for ethics is undermined, risking customer trust (as customers warned).
- 1–2 link to mission + 2 development.

Q18

Analyse the likely reactions of two stakeholder groups to the proposed closure.

[6]

- Employees/union: opposition, strike threat, fall in morale (70% unionised).
- Shareholders: support closure for cost savings/profit but wary of reputation damage.
- Local government: resistance, offers grant to protect local jobs.

Level 2 (4-6)

Two groups' reactions analysed with the case.

Level 1 (1-3)

Identifies reactions, limited application.

Q19

Using Table 1, analyse the financial case for and against closing the factory in the first year.

[8]

First-year net effect ~ +\$4.1m saving - \$3.6m redundancy - \$1.8m lost sales = -\$1.3m (a first-year loss).

- Ongoing years: saving of \$4.1m - \$1.8m lost sales ~ +\$2.3m/yr once one-off redundancy passes.
- Staying open with the grant adds \$0.9m/yr for two years but forgoes the \$4.1m saving.
- So closure hurts year one but may benefit later years – depends on how long reputation damage lasts.

Level 3 (6-8)

Correct use of figures with analysis of short vs long term.

Level 2 (3-5)

Some correct calculation/analysis.

Level 1 (1-2)

Limited use of data.

Q20

Recommend whether Lumina should close the factory. Justify your recommendation using the case and figures.

[12]

For closing

- Long-run cost savings (\$4.1m), shareholder pressure, competitiveness.

Against closing

- First-year loss, 620 jobs, damage to CSR mission and customer relationships, strike disruption, community impact; grant available.

Judgement

- Supported recommendation, e.g. delay/keep open using the grant while investing to cut costs, or phased closure with retraining to protect reputation; weigh short-term loss vs long-term gain and the mission.

Level 4 (10-12)

Balanced, uses data, justified recommendation with awareness of stakeholders and mission.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 4 – MARK SCHEME**Human resource management: planning, recruitment & selection****Section A – Short-answer questions****Q1**

(a) Define 'human resource management (HRM)'. [2]

- The management function responsible for recruiting, developing, deploying and retaining employees (1) so the business meets its objectives (1).

(b) Explain two roles of HRM in helping a business meet its objectives. [6]

- Workforce planning – ensures the right number/skills of staff are available when needed.
- Recruitment/selection and training – provides capable, motivated staff to raise productivity.
- Managing morale/relations – reduces turnover and disputes.

Marks

- Up to 3 per role.

Q2

(a) Define 'labour turnover'. [2]

- The proportion of the workforce leaving a business over a period, usually a year (1), expressed as a percentage (1).

(b) State the formula for labour turnover and calculate it for a firm where 24 of 300 staff left this year. [4]

Labour turnover = (number leaving / average number employed) × 100

(24 / 300) × 100 = 8%

- 2 for formula, 2 for correct answer 8%.

Q3

(a) Explain two problems that high labour turnover can cause a business. [6]

- Higher recruitment and training costs; loss of experienced staff/knowledge.
- Disruption to output/quality and lower morale among remaining staff.
- Poor customer service/continuity.

Marks

- Up to 3 per problem.

(b) Explain one situation in which some labour turnover is beneficial. [3]

- Brings in fresh ideas/skills, removes underperformers, allows flexibility/cost adjustment. 1 + 2.

Q4

(a) Distinguish between a job description and a person specification. [4]

- Job description: details the duties/tasks and responsibilities of the role (2).
- Person specification: the skills, qualifications and qualities the ideal candidate needs (2).

(b) Explain why a person specification is useful in the selection process. [3]

- Provides objective criteria to shortlist/compare candidates and reduce bias/mismatch. 1 + 2.

Q5

(a) Define 'internal recruitment'. [2]

- Filling a vacancy with an existing employee of the business (1) rather than an outsider (1).

(b) Analyse two advantages of internal recruitment over external recruitment. [6]

- Cheaper/faster; candidate is a known quantity (lower selection risk).

- Motivates staff (promotion prospects), retains firm-specific knowledge, shorter induction.

Level 2 (4-6)

Two advantages analysed with development.

Level 1 (1-3)

Identifies advantages, limited development.

Q6

(a) *State two selection methods a business could use.*

[2]

- Any two: interviews, application forms/CV screening, references, aptitude/psychometric testing, assessment centres.

(b) *Explain one limitation of relying only on interviews to select staff.*

[4]

- Subjective/prone to bias; good interviewees may be poor performers; does not test practical skills; first-impression effect. 1–2 + development.

Q7

(a) *Define 'assessment centre'.*

[3]

- A selection method where candidates complete a series of tasks/tests/exercises over one or more days (1), observed by assessors (1), to judge their suitability (1).

(b) *Explain one benefit and one drawback of using assessment centres.*

[4]

- Benefit: broader, more reliable picture of ability. Drawback: expensive/time-consuming. 2 each developed.

Q8

(a) *Distinguish between redundancy and dismissal.*

[4]

- Redundancy: job no longer needed (e.g. downsizing) – not the employee's fault (2).
- Dismissal: employment terminated because of the employee's conduct/capability (2).

(b) *Distinguish between voluntary and involuntary redundancy.*

[3]

- Voluntary: employees choose to leave (often for a payment); involuntary: employer selects who must go. 1–2 + development.

Q9

(a) *Define 'unfair dismissal'.*

[3]

- Ending employment without a fair/legal reason (1) or without following a fair procedure (1), giving the employee grounds to claim (1).

(b) *Explain why following a fair dismissal procedure matters to a business.*

[3]

- Avoids legal claims/compensation and reputational damage; maintains morale/fairness. 1 + 2.

Q10

(a) *Define 'workforce plan'.*

[2]

- A plan that forecasts the number and type of employees a business will need (1) and how it will obtain and retain them (1).

(b) *Analyse two factors a business must consider when producing a workforce plan.*

[6]

- Forecast demand for products/expected growth or decline.
- Labour turnover/retirements and skills required; labour market availability.
- Technology/automation changing skill needs; budget.

Level 2 (4-6)

Two factors analysed with development.

Level 1 (1-3)

Identifies factors, limited development.

Section B – Essay questions

Q11

(a) Analyse how effective workforce planning can help a rapidly growing business.

[8]

- Ensures enough skilled staff are recruited/trained ahead of demand (avoids bottlenecks).
- Controls labour costs and avoids over- or under-staffing.
- Identifies skills gaps and training needs; supports smooth expansion.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether external recruitment is always better than internal recruitment for senior management posts.

[12]

- For external: brings new ideas/skills, wider pool, avoids internal politics, needed if no internal talent.
- For internal: cheaper, faster, motivating, known performer, retains culture/knowledge.
- Judgement: depends on whether change or continuity is needed, availability of internal talent, cost and urgency; not always better.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse the costs to a business of a high level of labour turnover.

[8]

- Recruitment, selection and induction costs recur frequently.
- Training costs and lost productivity while new staff learn.
- Loss of experienced staff, knowledge, morale and customer relationships.

Level 3 (6-8)

Developed analysis of several costs.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the most effective methods a business could use to reduce labour turnover.

[12]

- Options: better pay/benefits, improved working conditions, training/promotion, better recruitment/selection fit, motivation (job enrichment), management style.
- Trade-offs: cost of higher pay vs cost of turnover; non-financial methods may be cheaper and durable.
- Judgement: root cause matters – if pay is the issue address pay, if boredom then job design; a combination targeted at causes is most effective. Depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) *Analyse why the selection process is as important as the recruitment process.*

[8]

- Recruitment attracts a pool; selection chooses the right person – a poor choice is costly.
- Wrong selection -> low productivity, higher turnover, retraining, morale/legal issues.
- Good selection (valid methods) matches person to person specification.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *'Making workers redundant is always bad for a business.' Evaluate this view.*

[12]

- For: lowers morale/loyalty, loss of skills, redundancy cost, reputation, survivor stress, risk of losing needed staff in an upturn.
- Against: cuts costs, improves competitiveness/survival, allows restructuring, may be unavoidable in decline.
- Judgement: depends on necessity, how it is handled (fair procedure, voluntary first, support) and whether skills will be needed again. Sometimes essential for survival.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) *Analyse the importance of a clear employment contract to both employer and employee.*

[8]

- Employer: sets duties, hours, notice, and grounds for discipline – legal protection.
- Employee: clarifies pay, rights, holiday and security – reduces disputes.
- Reduces misunderstanding and provides a basis for fair dismissal/redundancy.

Level 3 (6-8)

Developed analysis for both parties.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the usefulness of online recruitment compared with traditional methods for a small business.*

[12]

- For online: cheap, wide/fast reach, easy to filter, targets specific skills.
- Against: huge volume of unsuitable applicants, may miss local/older candidates, screening time, less personal.
- Judgement: depends on role, budget and target labour market; often best combined with local/agency methods for a small firm.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Staffing pressures at Meridian Hotels**Q15***Define the term 'induction training'.***[2]**

- Training given to new employees when they join (1) to introduce them to the business, their role, colleagues and procedures (1).

Q16*Using Table 1, calculate Meridian's labour turnover rate for the year.***[3]****Labour turnover = $(375 / 1,250) \times 100 = 30\%$**

- 2 method + 1 answer (30%).

Q17*Using Table 1, estimate the annual cost to Meridian of replacing the staff who left.***[3]****375 leavers $\times$ \$1,600 = \$600,000 per year**

- 2 method + 1 answer.

Q18*Explain two likely causes of Meridian's high labour turnover, using the case.***[4]**

- Poor induction (46% leave within 3 months) – staff feel unprepared/unsupported.
- Low pay relative to the market; rushed, weak selection producing poor job fit.
- 1–2 per cause with application.

Q19*Analyse how introducing structured selection and improved induction could benefit Meridian.***[8]**

- Better job fit -> fewer early leavers -> lower turnover and recruitment cost (\$600k).
- Induction raises confidence, productivity and morale, improving guest service/quality.
- Supports the planned expansion by building a stable, capable workforce.

Level 3 (6-8)

Developed analysis linking the changes to case problems/costs.

Level 2 (3-5)

Some analysis.

Level 1 (1-2)

Identification.

Q20*The board must decide whether to adopt the HR director's three proposals before expanding.***[12]***Recommend what Meridian should do. Justify your answer.***For adopting now**

- Cuts the 30% turnover and \$600k cost, builds capability for six new hotels, improves guest experience/reputation.

Against / concerns

- Slower and costlier short term; rooms need staffing immediately; managers resist.

Judgement

- Supported recommendation, e.g. phase in the workforce plan and induction before expansion to avoid repeating the turnover problem at a larger scale; prioritise the cheapest high-impact change (induction) first.

Level 4 (10-12)

Balanced, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 5 – MARK SCHEME**Morale, training, development & workforce relations****Section A – Short-answer questions****Q1**

(a) Define 'work-life balance'.

[2]

- The balance an employee achieves between time/effort spent on work and on personal/family life (1), affecting wellbeing and performance (1).

(b) Explain two ways a business could improve the work-life balance of its employees.

[6]

- Flexible/remote working or flexitime.
- Part-time/job-share options; generous leave; limiting overtime.
- On-site childcare/wellbeing support.

Marks

- Up to 3 per method (identification + development).

Q2

(a) Define 'employee morale'.

[2]

- The overall level of confidence, satisfaction and enthusiasm employees feel (1) towards their work and employer (1).

(b) Analyse how low employee morale can harm a business.

[6]

- Lower productivity and quality; higher absenteeism and labour turnover.
- Poorer customer service and reputation; more disputes.
- Higher costs of recruitment/supervision.

Level 2 (4-6)

Developed analysis of consequences.

Level 1 (1-3)

States effects, limited development.

Q3

(a) Distinguish between on-the-job and off-the-job training.

[4]

- On-the-job: training at the workplace while doing the job (e.g. mentoring) (2).
- Off-the-job: training away from the normal workplace (e.g. college course, external provider) (2).

(b) Explain one advantage of off-the-job training.

[3]

- Access to specialist expertise/qualifications; fewer workplace distractions; broader skills. 1 + 2.

Q4

(a) Define 'induction training'.

[2]

- Initial training for new employees (1) to familiarise them with the job, workplace and procedures (1).

(b) Explain two benefits of induction training to a business.

[6]

- New staff become productive faster and make fewer errors.
- Improves safety and morale; reduces early leaving/turnover.
- Communicates culture and expectations.

Marks

- Up to 3 per benefit.

Q5

- (a) Define 'multi-skilling'. [2]
- Training employees to perform several different tasks/roles (1), increasing flexibility of the workforce (1).
- (b) Explain one benefit and one drawback of multi-skilling for a manufacturer. [4]
- Benefit: flexible cover, fewer bottlenecks. Drawback: training cost, possible demand for higher pay. 2 each.

Q6

- (a) Define 'trade union'. [2]
- An organisation of workers (1) that represents and protects their collective interests in negotiations with employers (1).
- (b) Analyse how trade union involvement can benefit both employees and employers. [6]
- Employees: collective bargaining power for better pay/conditions and representation in disputes.
 - Employers: a single channel for negotiation (efficient communication), fewer individual disputes, workforce views heard, aiding cooperation and productivity.

Level 2 (4-6)

Both sides analysed with development.

Level 1 (1-3)

Identifies benefits, limited development.

Q7

- (a) Define 'collective bargaining'. [3]
- Negotiation over pay/conditions (1) between employers and employee representatives (a union) on behalf of a group of workers (1) to reach a collective agreement (1).
- (b) Explain one reason a business may prefer collective bargaining to negotiating with each worker individually. [3]
- More efficient (one negotiation), consistent terms, reduces individual conflict. 1 + 2.

Q8

- (a) Define 'diversity' in the workplace. [2]
- Employing people from a wide range of backgrounds – e.g. gender, age, ethnicity, ability (1) – and valuing their differences (1).
- (b) Analyse how a diverse and inclusive workforce can benefit a business. [6]
- Wider range of ideas/creativity and better understanding of diverse customers.
 - Larger talent pool, improved reputation, compliance with equality law.
 - Higher morale/retention where staff feel valued.

Level 2 (4-6)

Developed analysis of benefits.

Level 1 (1-3)

States benefits, limited development.

Q9

- (a) Define 'employee development'. [2]
- Longer-term growth of employees' skills, knowledge and careers (1) beyond immediate job training (1).
- (b) Explain how employee development can encourage intrapreneurship. [4]
- Builds skills/confidence and empowerment so staff generate and pursue new ideas within the firm. 1–2 + development.

Q10

- (a) State two consequences for a business of poor management–workforce relations. [2]
- Any two: strikes/industrial action, low morale, high turnover, low productivity, poor reputation, difficulty recruiting.

(b) Explain one way managers can improve cooperation with the workforce.

[4]

- Consultation/participation, fair pay, good communication, recognition, involving unions. 1–2 + development.

Section B – Essay questions

Q11

(a) Analyse the impact of training and development on a business.

[8]

- Raises productivity, quality and flexibility (multi-skilling).
- Improves motivation, morale and retention (career prospects).
- Supports innovation/intrapreneurship and change; but costs money and time and trained staff may leave.

Level 3 (6-8)

Developed analysis of impacts.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether spending on training is always a worthwhile investment for a business.

[12]

- For: higher productivity/quality, motivation, retention, adaptability, fewer errors/accidents.
- Against: costly, disrupts production, trained staff may be poached, benefits hard to measure, wasted if poorly targeted.
- Judgement: worthwhile if training is relevant, well-targeted and staff are retained; depends on turnover, type of work and cost. Not automatically worthwhile.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how good employee welfare can improve business performance.

[8]

- Better wellbeing -> lower absence/turnover and higher productivity.
- Improved morale, loyalty and reputation aid recruitment.
- Fewer disputes and accidents; better customer service.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that trade unions are more of a threat than a benefit to a business.

[12]

- Threat: potential strikes/disruption, higher wage costs, restrictive practices, slower change.
- Benefit: efficient communication/bargaining channel, fewer individual disputes, improved morale/representation, partnership can raise productivity.
- Judgement: depends on the relationship (adversarial vs partnership) and management approach; unions can be a benefit if relations are cooperative.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how promoting diversity and equality could give a business a competitive advantage.

[8]

- Wider talent pool and creativity/innovation from varied perspectives.
- Better serves diverse markets; stronger employer brand/reputation.
- Improved morale/retention and legal compliance.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether on-the-job training is better than off-the-job training for a fast-food chain.

[12]

- On-the-job: cheap, job-specific, productive during training, immediate; but may reproduce bad habits and disrupt service.
- Off-the-job: specialist skills/qualifications (e.g. management), no service distraction; but costly and less job-specific.
- Judgement: for routine operational roles on-the-job usually suits a fast-food chain; off-the-job better for supervisory/management development. Depends on role and cost.

Level 4 (10-12)

Balanced, supported judgement, contextual.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse the benefits to a business of cooperation between management and the workforce.

[8]

- Smoother change/flexibility, fewer disputes and less disruption.
- Higher morale, productivity and retention; useful shop-floor ideas.
- Better reputation as an employer.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'Improving employee welfare is a cost the business cannot always justify.' Evaluate this statement.

[12]

- For: welfare spending (facilities, benefits, wellbeing) raises costs and may not directly raise output; hard to measure returns; competitors may not.
- Against: reduces absence/turnover, raises morale/productivity and reputation, aids recruitment and legal compliance – often pays for itself.
- Judgement: justified where it targets real needs and improves performance/retention; depends on affordability and the labour market.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Unrest at Novak Components

Q15

Define the term 'collective bargaining'.

[2]

- Negotiation of pay/conditions between an employer and a trade union representing a group of workers (2).

Q16

Identify two signs from Table 1 that morale at Novak is falling.

[2]

- Any two: labour turnover up 9%→17%; absenteeism up 4%→9%; output per worker down 1,120→990; 11 days lost to disputes (from 0).

Q17

Explain how the way management introduced the new shift system may have worsened workforce relations.

[4]

- Imposed without consultation → workers feel undervalued/ignored, breeding resentment and the strike ballot.
- Lack of communication damages trust and cooperation.
- 1–2 link + 2 development.

Q18

Analyse how improved training and multi-skilling could help Novak.

[6]

- Raises productivity/quality (reversing the fall in output per worker) and flexibility to cover shifts.
- Improves morale/retention, reducing turnover and absenteeism.

Level 2 (4-6)

Analysed with case data.

Level 1 (1-3)

Identifies benefits, limited application.

Q19

Analyse how better cooperation with the trade union could benefit Novak.

[8]

- Consultation gives a channel to resolve the shift dispute, avoiding costly strikes (11 days lost).
- Involving workers raises morale and buy-in to change, improving productivity.
- Reduces turnover of experienced staff/supervisors and improves reputation.

Level 3 (6-8)

Developed analysis using the case.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

The finance director argues Novak 'cannot afford' the proposed package. Evaluate whether Novak should implement the operations director's proposals. Justify your answer.

[12]

For implementing

- Addresses root causes; likely to cut turnover/absence, restore output and avoid strike costs; long-term

competitiveness and reputation.

Against / concerns

- Upfront cost while profits fall; benefits take time and are uncertain; risk of raising expectations.

Judgement

- Supported recommendation, e.g. phase in the lowest-cost, highest-impact elements first (consultation and communication cost little) and fund welfare/training from the productivity gains; not acting risks escalating disputes and falling output.

Level 4 (10-12)

Balanced, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 6 – MARK SCHEME

Motivation and management

Section A – Short-answer questions

Q1

(a) Define 'motivation'.

[2]

- The internal drive/desire (1) that causes people to act to achieve a goal, e.g. to work towards business objectives (1).

(b) Explain why motivating employees is important to a business.

[5]

- Higher productivity/quality and effort; lower absenteeism and turnover.
- Better customer service, more ideas/initiative, easier change.
- Up to 5 for developed explanation.

Q2

(a) Outline the main idea of Taylor's theory of motivation.

[3]

- Scientific management: workers are motivated mainly by money (1); find the most efficient way to work and pay by results/piece rate (1) with close control/division of labour (1).

(b) Explain one criticism of Taylor's approach to motivation.

[3]

- Ignores social/psychological needs; treats workers as machines; can lower morale/creativity. 1 + 2.

Q3

(a) Outline the main finding of Mayo's Hawthorne studies.

[3]

- Workers are motivated by social factors/group belonging and attention (1); productivity rose when workers felt valued/consulted (1) – the human relations school (1).

(b) Explain one way a business could apply Mayo's findings.

[3]

- Teamworking, involving/consulting staff, showing interest/recognition. 1 + 2.

Q4

(a) List the five levels of Maslow's hierarchy of needs, from lowest to highest.

[3]

- Physiological -> safety/security -> social/love & belonging -> esteem -> self-actualisation (3 marks for correct order).

(b) Analyse how a manager could use Maslow's hierarchy to motivate staff.

[6]

- Meet lower needs first: fair pay (physiological), secure contracts/safe conditions (safety).
- Then social (teamwork), esteem (recognition/status) and self-actualisation (challenging work/development).
- Motivators must match the level an individual is currently seeking.

Level 2 (4-6)

Applies each level to workplace practice.

Level 1 (1-3)

Lists levels, limited application.

Q5

(a) Distinguish between Herzberg's 'motivators' and 'hygiene factors'.

[4]

- Motivators (e.g. achievement, recognition, responsibility) cause satisfaction/positive motivation (2).
- Hygiene factors (e.g. pay, conditions, supervision) cause dissatisfaction if poor but do not motivate if present (2).

(b) Explain one implication of Herzberg's theory for job design.

[3]

- Enrich jobs (more responsibility/achievement) to motivate, not just improve pay/conditions. 1 + 2.

Q6

(a) Outline McClelland's three needs.

[3]

- Need for achievement, need for affiliation (belonging) and need for power (3 marks; 1 each).

(b) Explain how understanding McClelland's needs could help a manager assign roles.

[3]

- Match roles to dominant need – achievers get challenging targets, affiliation types get teamwork, power types get leadership. 1 + 2.

Q7

(a) Outline Vroom's expectancy theory (process theory).

[3]

- Motivation depends on expectancy (effort leads to performance), instrumentality (performance leads to reward) and valence (value of the reward) (1 each).

(b) Explain one way a manager could raise motivation using expectancy theory.

[3]

- Ensure effort is achievable, link performance clearly to rewards, and offer rewards employees actually value. 1 + 2.

Q8

(a) Distinguish between piece rate and salary as payment methods.

[4]

- Piece rate: pay per unit produced – output-linked (2).
- Salary: fixed annual pay regardless of output/hours, usually paid monthly (2).

(b) Explain one drawback of paying factory workers by piece rate.

[3]

- May sacrifice quality for quantity; unsuitable where output is hard to measure; income insecurity. 1 + 2.

Q9

(a) Define 'job enrichment'.

[2]

- Redesigning a job to include more challenging, meaningful tasks and responsibility (1) to increase motivation (1).

(b) Explain two non-financial methods (other than job enrichment) a business could use to motivate staff.

[6]

- Empowerment/participation; teamworking; job rotation/enlargement.
- Opportunities for training, promotion and status; recognition.

Marks

- Up to 3 per method.

Q10

(a) Distinguish between an autocratic and a democratic management style.

[4]

- Autocratic: manager makes decisions alone and directs staff (2).
- Democratic: manager consults and involves staff in decisions (2).

(b) Explain McGregor's Theory X view of workers.

[3]

- Theory X assumes workers dislike work, avoid responsibility and must be controlled/directed and motivated by money/threat. 3 marks.

Section B – Essay questions**Q11**

(a) Analyse the traditional functions of management identified by Fayol.

[8]

- Planning (setting objectives/direction), organising (resources/structure).
- Directing/commanding (leading & motivating staff), controlling (monitoring vs targets and correcting).
- Coordinating activities across the business.

Level 3 (6-8)

Developed analysis of the functions and their contribution.

Level 2 (3-5)

Some.

Level 1 (1-2)

Lists functions.

(b) Evaluate whether financial rewards are the best way to motivate a workforce.

[12]

- For (Taylor): pay drives effort, easy to link to output (piece rate/bonus/PRP), meets lower needs.
- Against (Mayo/Maslow/Herzberg): money is a hygiene factor; social, esteem and self-actualisation needs and job design matter; over-reliance harms quality/teamwork.
- Judgement: depends on the type of work, the individual and pay level; a mix of financial and non-financial usually best. Money necessary but not sufficient.

Level 4 (10-12)

Balanced, supported judgement using theory.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how a manager's choice of leadership style could affect employee motivation.

[8]

- Autocratic: quick decisions but may demotivate/limit initiative.
- Democratic/paternalistic: involvement raises morale and ideas but is slower.
- Laissez-faire: suits skilled/creative staff but risks lack of direction.

Level 3 (6-8)

Developed analysis linking styles to motivation.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that there is one best management style for all situations.

[12]

- For one style: consistency, clarity, e.g. democratic often praised for motivation.
- Against: best style depends on task urgency, staff skill/motivation, culture, and the manager – a contingency view; autocratic suits crises, laissez-faire suits experts.
- Judgement: no single best style; effective managers adapt (situational leadership).

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how Herzberg's two-factor theory could guide a business trying to raise motivation.

[8]

- First remove dissatisfaction: fair pay, decent conditions, fair supervision (hygiene).
- Then build motivators: responsibility, achievement, recognition, advancement (job enrichment).
- Improving hygiene alone will not motivate.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) Evaluate whether empowering employees is always beneficial for a business.***[12]**

- For: raises motivation/ownership, faster decisions, uses staff ideas, develops skills, frees managers.
- Against: some staff lack skill/desire (Theory X); risk of errors/inconsistency; managers may resist losing control; needs training and trust.
- Judgement: beneficial where staff are capable and well-trained and the task suits autonomy; depends on culture and workforce. Not universal.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14*(a) Analyse the management roles identified by Mintzberg.***[8]**

- Interpersonal (figurehead, leader, liaison).
- Informational (monitor, disseminator, spokesperson).
- Decisional (entrepreneur, disturbance-handler, resource allocator, negotiator).
- Shows management is broader than Fayol's functions.

Level 3 (6-8)

Developed analysis of the role categories.

Level 2 (3-5)

Some.

Level 1 (1-2)

Lists roles.

*(b) 'A paternalistic style is the most suitable for managing a young, inexperienced workforce.' Evaluate.***[12]**

- For: guidance/support, welfare focus, clear direction suits inexperienced staff and can build loyalty.
- Against: can be seen as controlling/patronising, limits development of initiative; democratic or coaching styles may develop staff faster; depends on individuals.
- Judgement: paternalistic can suit early stages but should evolve as staff gain experience; depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Two managers at Solaris Call Centre**Q15***Define the term 'empowerment'.***[2]**

- Giving employees the authority/autonomy to make decisions about their own work (1) without seeking approval (1).

Q16

Identify the motivation theorist whose ideas best match Solaris's original bonus-per-call system, and justify your choice. **[3]**

- Taylor / scientific management (1) – pay by results, close monitoring, standardised tasks, money as the main motivator (2).

Q17

Using Table 1, explain one benefit and one drawback of Priya's approach. **[4]**

- Benefit: lower turnover (12% vs 40%) and higher satisfaction (88% vs 71%)/first-call resolution.
- Drawback: longer average call time (6.4 vs 5.1 min) – fewer calls handled, possible higher cost.
- 2 each with data.

Q18

Analyse how Priya's methods could be explained using Herzberg's or Maslow's theory. **[6]**

- Herzberg: recognition, responsibility and achievement are motivators driving satisfaction/lower turnover.
- Maslow: esteem (recognition) and self-actualisation (responsibility, teamwork = social) needs being met.

Level 2 (4-6)

Applies a named theory to Priya's methods.

Level 1 (1-3)

Mentions theory, limited application.

Q19

Analyse how the tall organisational structure (Fig 1) might affect motivation and communication at Solaris. **[8]**

- Tall structure -> narrow spans, many layers -> slow communication and slow decisions.
- Agents feel distant from management, less empowered -> lower motivation (links to 40% turnover).
- Empowerment (Priya) partly offsets this by pushing decisions down.

Level 3 (6-8)

Developed analysis using the structure and case.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend whether the director should roll out Priya's approach across the whole call centre. Justify your recommendation using the data. **[12]**

For rolling out

- Lower turnover cuts recruitment cost; higher satisfaction and first-call resolution aid retention of customers and reputation; motivation gains.

Against / risks

- Longer call times reduce volume/raise cost per call; change management and training needed; some staff/managers may resist losing the bonus.

Judgement

- Supported recommendation, e.g. roll out but redesign rewards around quality and first-call resolution rather than pure volume; pilot further/monitor cost per resolved issue; weigh the value of retention and satisfaction against call throughput.

Level 4 (10-12)

Balanced, uses data, justified recommendation with theory.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 7 – MARK SCHEME

The nature of marketing

Section A – Short-answer questions

Q1

(a) Define 'marketing objective'.

[2]

- A specific marketing goal a business wants to achieve (1), e.g. to raise market share or brand awareness, that supports corporate objectives (1).

(b) Explain the link between marketing objectives and corporate objectives.

[5]

- Corporate objectives (e.g. growth) set the overall direction.
- Marketing objectives (e.g. +10% market share) are derived to help achieve them.
- They must be consistent so marketing activity supports overall strategy.
- Up to 5 for developed explanation.

Q2

(a) State two factors that influence the demand for a product.

[2]

- Any two: price, incomes, price of substitutes/complements, tastes/fashion, advertising, season, population.

(b) Explain how a rise in consumer incomes could affect demand for a luxury car.

[4]

- Luxury cars are a normal/luxury good, so higher incomes raise demand (shift right); consumers can afford more premium goods. 1–2 + development.

Q3

(a) Explain how the interaction of demand and supply determines the market price.

[4]

- Price settles at equilibrium where quantity demanded = quantity supplied.
- Excess demand pushes price up; excess supply pushes it down until they balance.

(b) Draw and label a demand and supply diagram showing equilibrium price and quantity.

[3]

- Axes: price (y), quantity (x); downward demand, upward supply; intersection marked P and Q. 3 marks for correct, labelled diagram.

Q4

(a) Distinguish between a consumer market and an industrial market.

[4]

- Consumer (B2C): goods/services sold to households for personal use (2).
- Industrial (B2B): goods/services sold to other businesses for use in production (2).

(b) Explain one way marketing differs between B2C and B2B.

[3]

- B2B: fewer, larger buyers, relationship/technical selling, negotiated prices; B2C: mass promotion, branding, emotional appeal. 1 + 2.

Q5

(a) Define 'market share'.

[2]

- The proportion of total sales in a market (by value or volume) held by one business/product (1), usually expressed as a percentage (1).

(b) A firm sells \$6m in a market worth \$40m. Calculate its market share and explain one implication of a rising share.

[5]

Market share = $(6 / 40) \times 100 = 15\%$

- Rising share suggests growing competitiveness/brand strength, possible economies of scale and market power.
- 2 calc + up to 3 explanation.

Q6

(a) *Distinguish between mass marketing and niche marketing.* [4]

- Mass: aiming a product at the whole/large market with a standardised offer (2).
- Niche: targeting a small, specific segment with a specialised offer (2).

(b) *Explain one advantage of niche marketing for a small business.* [3]

- Less direct competition from large firms, can charge premium prices, closer customer relationships, lower marketing spend. 1 + 2.

Q7

(a) *State the three main methods of market segmentation.* [3]

- Geographic (1), demographic (1) and psychographic (1) (accept behavioural).

(b) *Analyse two benefits to a business of segmenting its market.* [6]

- Targets marketing more precisely -> higher response/lower waste.
- Tailors product/price to segment needs -> higher satisfaction and possibly premium prices.
- Identifies gaps/new segments; improves customer retention.

Level 2 (4-6)

Two benefits analysed with development.

Level 1 (1-3)

Identifies benefits, limited development.

Q8

(a) *Define 'customer relationship marketing (CRM)'.* [3]

- A strategy focused on building long-term relationships with customers (1) to increase loyalty and repeat purchases (1) rather than one-off sales (1).

(b) *Explain one cost and one benefit of CRM.* [4]

- Benefit: loyalty/repeat sales, higher lifetime value, referrals. Cost: technology/CRM systems, staff time, data management. 2 each.

Q9

(a) *Distinguish between product orientation and market (customer) orientation.* [4]

- Product-orientated: focuses on the product/what the firm can make (2).
- Market-orientated: focuses on identifying and meeting customer needs (2).

(b) *Explain one risk of being product-orientated.* [3]

- May produce goods customers do not want -> unsold stock/lost sales; ignores changing tastes. 1 + 2.

Q10

(a) *Define 'market growth'.* [2]

- The increase in the total size/sales of a market over a period (1), usually shown as a percentage change (1).

(b) *Analyse the implications for a business of operating in a rapidly growing market.* [6]

- Opportunity for higher sales/economies of scale and new customers.
- But attracts new competitors; needs investment/capacity; risk of overtrading.

Level 2 (4-6)

Developed analysis of implications.

Level 1 (1-3)

States implications, limited development.

Section B – Essay questions

Q11

(a) *Analyse how market segmentation could help a clothing retailer increase sales.*

[8]

- Identify segments (age, income, lifestyle) and tailor ranges/prices to each.
- Target promotion to the right audience -> higher conversion and loyalty.
- Spot underserved segments/new opportunities.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate whether niche marketing or mass marketing is the better strategy for a new food producer.*

[12]

- Niche: less competition, premium prices, loyal customers, lower initial spend; but small sales, vulnerable if segment shrinks or a big firm enters.
- Mass: high volume, economies of scale, brand reach; but heavy competition/spend and needs large capacity/finance.
- Judgement: for a new/small producer niche is usually safer initially; depends on finance, capacity and product. Could grow niche -> mass later.

Level 4 (10-12)

Balanced, supported judgement, contextual.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse how a business could become more market-orientated.*

[8]

- Conduct market research to identify customer needs and monitor trends.
- Involve marketing in product development; use customer feedback/CRM data.
- Adjust the marketing mix to match customer wants.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the view that customer relationship marketing is worth the investment for all businesses.*

[12]

- For: loyalty, repeat purchase, higher lifetime value, cheaper than winning new customers, referrals, useful data.
- Against: costly systems/time; low value for one-off/low-frequency purchases; data/privacy risks; not all customers want a 'relationship'.
- Judgement: worthwhile where repeat purchase and customer lifetime value are high (e.g. banking, subscriptions); less so for infrequent low-value goods.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13*(a) Analyse how changes in supply and demand could affect the price and sales of coffee for a cafe chain.***[8]**

- A poor harvest cuts supply of beans -> input prices rise -> higher costs/prices.
- A health trend or rising incomes raises demand -> higher prices/sales.
- The chain must respond via pricing/menu decisions.

Level 3 (6-8)

Developed analysis using demand/supply.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) Evaluate the importance of setting SMART marketing objectives for a business launching a new product.***[12]**

- For: focus, coordination, measurement, motivation, benchmark to judge the launch.
- Against: uncertain new markets make realistic targets hard; rigid objectives may not adapt; success also depends on execution and rivals.
- Judgement: valuable for control but must be flexible/reviewed; important yet not sufficient on its own.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14*(a) Analyse why a growing market share can benefit a business.***[8]**

- Higher sales/revenue and economies of scale lowering unit costs.
- Greater market power/brand strength, bargaining power with suppliers/retailers.
- Can support price leadership and deter entrants.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) 'Understanding customers is more important than beating competitors.' Evaluate this view for a marketing manager.***[12]**

- For customers: needs-led (market orientation) drives loyalty, retention and the right products; source of long-term success.
- For competitors: must monitor rivals to remain competitive on price/features and defend share.
- Judgement: both matter and interlink; deep customer understanding usually the foundation, but ignoring competitors is dangerous. Depends on market rivalry.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: BrightBrew targets a niche**Q15***Define the term 'niche market'.***[2]**

- A small, specific segment of a larger market with particular needs (2).

Q16*Using Table 1, calculate BrightBrew's market share.***[3]****Market share = $(3.1 / 260) \times 100 \sim 1.2\%$**

- 2 method + 1 answer (~1.2%).

Q17*Identify the segmentation base BrightBrew mainly uses, and justify your answer.***[3]**

- Demographic/psychographic (1) – targets high-income (top 20%) and environmentally conscious/lifestyle consumers (2).

Q18*Explain how the bean shortage (Fig 1) is likely to affect BrightBrew's costs and pricing.***[4]**

- Reduced supply raises the market price of beans -> higher input costs.
- BrightBrew may raise prices (premium buyers less price-sensitive) or absorb costs, cutting margins.
- 1–2 use of diagram + 2 development.

Q19*Analyse the benefits to BrightBrew of its customer relationship marketing.***[8]**

- High repeat-purchase (68%) via subscription -> stable revenue and high customer lifetime value.
- Personalisation raises satisfaction/loyalty and word-of-mouth, defending its niche against big rivals.
- Customer data guides product/marketing decisions.

Level 3 (6-8)

Developed analysis using case data.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20*Recommend whether BrightBrew should move into the mass market or stay in its premium niche. Justify your recommendation.***[12]****For mass market**

- Access to a large, growing (\$260m, +12%) market and economies of scale; recession makes cheaper pods attractive.

For staying niche

- Head-to-head competition with two dominant mass firms is risky/costly; would dilute its ethical premium brand and lose its 68% loyalty; premium buyers are less hit by recession.

Judgement

- Supported recommendation, e.g. remain in and deepen the profitable niche via CRM (its core strength) rather than compete on price with giants; perhaps a limited premium supermarket range rather than full mass market. Weigh brand identity vs scale.

Level 4 (10-12)

Balanced, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 8 – MARK SCHEME**Market research and the product****Section A – Short-answer questions****Q1**

(a) Define 'market research'.

[2]

- The systematic gathering and analysis of data (1) about customers, competitors and the market to inform marketing decisions (1).

(b) Explain two purposes of conducting market research.

[6]

- Identify customer needs/wants and profiles.
- Assess market size, growth and competitors; reduce risk of a new launch.
- Test the marketing mix (price/product/promotion).

Marks

- Up to 3 per purpose.

Q2

(a) Distinguish between primary and secondary research.

[4]

- Primary (field): first-hand data collected for a specific purpose, e.g. surveys, interviews (2).
- Secondary (desk): existing data collected by others, e.g. government reports, internal records (2).

(b) Explain one advantage of primary research over secondary research.

[3]

- Specific/up-to-date and tailored to the business's needs; not available to rivals. 1 + 2.

Q3

(a) State two methods of primary research.

[2]

- Any two: questionnaires/surveys, interviews, focus groups, observation, test marketing.

(b) Analyse one limitation of using questionnaires.

[6]

- Risk of biased/leading questions or dishonest answers.
- Low response rates and unrepresentative samples reduce reliability.
- Costly/time-consuming to design and analyse well.

Level 2 (4-6)

Developed analysis of a limitation.

Level 1 (1-3)

States limitation, limited development.

Q4

(a) Define 'sample' in market research.

[2]

- A representative sub-group of the target population (1) selected to be surveyed instead of the whole population (1).

(b) Explain why sampling is necessary and one limitation of it.

[4]

- Necessary: surveying everyone is too costly/time-consuming. Limitation: risk of sampling error/unrepresentative sample -> misleading results. 2 + 2.

Q5

(a) Distinguish between quantitative and qualitative data.

[4]

- Quantitative: numerical data that can be measured/statistically analysed (2).
- Qualitative: opinions/attitudes/reasons, descriptive and harder to measure (2).

(b) Explain why a business might use both types of data.

[3]

- Quantitative shows how many/how much; qualitative explains why – together give fuller insight. 1 + 2.

Q6

(a) Explain what is meant by the reliability of data.

[3]

- The extent to which data is accurate, unbiased and would give consistent results if repeated (1); influenced by sample size/method and source (2).

(b) Explain one factor that could reduce the reliability of market research data.

[3]

- Small/biased sample, leading questions, out-of-date secondary data, dishonest responses. 1 + 2.

Q7

(a) State the 4Ps of the marketing mix.

[2]

- Product, Price, Promotion, Place (all four for 2).

(b) Explain why the elements of the marketing mix must be consistent with each other.

[4]

- A premium product needs a high price, quality promotion and selective distribution; mismatched Ps confuse customers and waste spending. 1–2 + development.

Q8

(a) Distinguish between the tangible and intangible attributes of a product.

[4]

- Tangible: physical/measurable features – size, materials, performance (2).
- Intangible: image, brand, reputation, after-sales service (2).

(b) Explain why intangible attributes can be important for a car manufacturer.

[3]

- Brand image/status and reliability reputation influence purchase and allow premium pricing. 1 + 2.

Q9

(a) Define 'unique selling point (USP)'.

[2]

- A feature that distinguishes a product from competitors (1) and gives customers a reason to choose it (1).

(b) Analyse how a strong USP can benefit a business.

[6]

- Differentiation reduces direct price competition -> can charge a premium.
- Aids brand loyalty, promotion and market share.

Level 2 (4-6)

Developed analysis of benefits.

Level 1 (1-3)

States benefits, limited development.

Q10

(a) Define 'product differentiation'.

[2]

- Making a product distinct from rivals (1) through design, features, branding or service (1).

(b) Explain the importance of product development to a business over time.

[4]

- Keeps products competitive as tastes/technology change; extends life cycle; supports growth and pricing power. 1–2 + development.

Section B – Essay questions

Q11

(a) Analyse why market research is important before launching a new product.

[8]

- Tests whether demand exists and identifies target customers/needs -> reduces failure risk.
- Informs the marketing mix (price point, features, channels, message).
- Estimates market size/competition to forecast sales/finance.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether primary research is always better than secondary research for a small business. **[12]**

- Primary: specific, current, exclusive, tailored; but costly, slow and needs expertise.
- Secondary: cheap, quick, good for market size/trends; but may be out of date, general or available to rivals.
- Judgement: for a small budget, start with cheap secondary research then targeted primary; primary not always better – depends on cost, time and the decision.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how the reliability of market research data affects the quality of business decisions. **[8]**

- Unreliable data (small/biased sample, leading questions) -> wrong conclusions and poor decisions.
- Reliable data improves forecasting, targeting and confidence.
- Sample size/method and source all matter.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the importance of a unique selling point to the success of a product. **[12]**

- For: differentiation, premium pricing, loyalty, easier promotion, defence against competition.
- Against: USPs can be copied; price, place, service and brand also matter; some markets compete mainly on price/convenience.
- Judgement: important in crowded/differentiated markets but not sufficient alone; must be supported by the whole mix. Depends on market.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse the difference between marketing a good and marketing a service. **[8]**

- Services are intangible, perishable, variable and inseparable from the provider.
- Marketing a service stresses staff, reputation, reassurance and experience; goods stress features/packaging.
- Quality is harder to standardise for services.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'Investing in product development is the most effective way to grow sales.' Evaluate.

[12]

- For: new/improved products meet changing needs, differentiate, extend life cycle, justify premium prices.
- Against: expensive and risky (many launches fail); promotion, pricing, place or new markets may grow sales more cheaply.
- Judgement: depends on market maturity and competition; development matters but is one option among the mix. Not automatically the most effective.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse how a business could use both quantitative and qualitative research to plan a product launch.

[8]

- Quantitative (surveys) sizes demand, price points, market share potential.
- Qualitative (focus groups) explains preferences, image, reasons and reactions to prototypes.
- Combined, they reduce risk and shape the mix.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the reliability of the results a business can obtain from sampling.

[12]

- For: well-designed random/stratified samples of adequate size give representative, cost-effective results.
- Against: sampling/selection bias, small samples, poor question design and non-response reduce reliability; can mislead.
- Judgement: reliability depends on sample size, method and design; sampling is necessary and can be reliable if done well, but results carry a margin of error.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: FreshFizz researches a launch

Q15

Define the term 'focus group'.

[2]

- A small group of consumers led in discussion by a researcher (1) to gather qualitative opinions about a

product/idea (1).

Q16

Identify whether the survey and focus groups are primary or secondary research, and justify your answer.

[3]

- Primary research (1) – first-hand data collected by FreshFizz for this specific launch (2).

Q17

Using Table 1, calculate how many of the 500 respondents said they would try the drink.

[3]

64% × 500 = 320 respondents

- 2 method + 1 answer (320).

Q18

Explain one reason the directors are right to question the reliability of the survey.

[4]

- The sample was only existing FreshFizz website visitors -> self-selected/biased towards fans, not the whole target market.
- Results may overstate interest; sample of 500 may be small for a national launch.
- 1–2 + development.

Q19

Analyse how FreshFizz could use the research findings to develop a USP for the drink.

[6]

- Focus groups value taste and a 'natural' image -> build USP around natural ingredients/great taste.
- Only 41% will pay a premium, so the USP should not rely solely on price positioning.

Level 2 (4-6)

Uses data to shape a USP.

Level 1 (1-3)

Identifies a USP, limited use of data.

Q20

Recommend how FreshFizz should position the new drink, using the research. Justify your recommendation and note the limitations of the data.

[12]

Positioning options

- Premium 'natural, great-tasting' low-sugar drink for 18–34s vs mass low-price drink.

Use of data

- High trial interest (64%) and weekly purchase (72%) support a mainstream launch; taste (58%) and natural image key; only 41% pay premium -> cautious on premium pricing.

Limitations

- Biased sample (website visitors) may overstate demand -> further, representative research advised before large investment.

Judgement

- Supported recommendation, e.g. position on taste + natural image at a competitive (not high-premium) price, targeting 18–34s, but validate with wider research first.

Level 4 (10-12)

Balanced, uses data, justified recommendation with awareness of reliability.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 9 – MARK SCHEME

The marketing mix: portfolio, price, promotion & place

Section A – Short-answer questions

Q1

(a) Define 'product life cycle'. [2]

- The stages a product passes through over time – development, introduction, growth, maturity and decline (1) – shown by sales over time (1).

(b) Explain two extension strategies a business could use to prolong the maturity stage. [6]

- New uses/markets; restyling or new features/variants.
- New packaging, increased promotion, price changes, targeting new segments.

Marks

- Up to 3 per strategy (identification + development).

Q2

(a) State the four categories of the Boston Matrix. [2]

- Star, Question mark (problem child), Cash cow, Dog (all four for 2).

(b) Analyse how the Boston Matrix can help a business manage its product portfolio. [6]

- Identifies which products to invest in (stars), harvest for cash (cash cows), review (question marks) or drop (dogs).
- Guides balanced portfolio and cash allocation (cash cows fund stars).

Level 2 (4-6)

Developed analysis of portfolio decisions.

Level 1 (1-3)

Describes categories, limited analysis.

Q3

(a) Define 'penetration pricing'. [2]

- Setting a low initial price to enter a market/gain market share quickly (1), then possibly raising it later (1).

(b) Explain a situation where penetration pricing would be appropriate. [4]

- A new product entering a competitive mass market with price-sensitive buyers, aiming for volume/market share. 1–2 + development.

Q4

(a) Define 'price skimming'. [2]

- Setting a high initial price for a new/innovative product (1) to maximise revenue from early adopters before lowering it (1).

(b) Explain why skimming might suit a new technology product. [4]

- Little competition initially, early adopters pay a premium, recovers R&D quickly; price falls as rivals enter. 1–2 + development.

Q5

(a) Define 'dynamic pricing'. [3]

- Adjusting prices in real time (1) in response to demand, timing or customer data (1), e.g. airline/ride-hailing prices (1).

(b) Explain one risk of using dynamic pricing. [3]

- Customers may feel exploited/unfair -> reputation damage; complexity; needs data/systems. 1 + 2.

Q6

(a) *Distinguish between cost-based pricing and competitive pricing.*

[4]

- Cost-based: price set by adding a mark-up to unit cost (2).
- Competitive: price set in line with/relative to competitors' prices (2).

(b) *Explain one limitation of cost-based pricing.*

[3]

- Ignores demand/what customers will pay and competitors; may price too high (lose sales) or too low (lose profit). 1 + 2.

Q7

(a) *State two objectives of promotion.*

[2]

- Any two: inform, persuade, remind, build brand/loyalty, increase sales/market share, launch a product.

(b) *Analyse the growing importance of digital promotion for businesses.*

[6]

- Wide, targeted reach at lower cost; measurable (analytics); interactive/social.
- Personalisation and remarketing; supports e-commerce; but oversupply of ads/ad-blocking and reputation risk.

Level 2 (4-6)

Developed analysis of digital promotion.

Level 1 (1-3)

States points, limited development.

Q8

(a) *Explain the role of branding in promotion.*

[4]

- Builds recognition, trust and loyalty; differentiates; supports premium pricing and repeat purchase. 1–2 + development.

(b) *Explain the role of packaging in promotion.*

[3]

- Attracts attention, communicates brand/information, protects product, can be a USP/differentiator. 1 + 2.

Q9

(a) *Distinguish between digital and physical distribution channels.*

[4]

- Physical: goods reach customers through wholesalers/retailers/physical stores (2).
- Digital: products/services delivered or sold online (e-commerce, downloads/streaming) (2).

(b) *Explain one benefit to a manufacturer of selling directly to consumers online.*

[3]

- Higher margins (no intermediary), direct customer data/relationship, control of brand. 1 + 2.

Q10

(a) *Define 'price discrimination'.*

[2]

- Charging different prices to different customers/segments for the same product (1) based on their willingness/ability to pay (1).

(b) *Explain one example of psychological pricing and why it works.*

[4]

- Pricing at \$9.99 rather than \$10 makes it seem cheaper (left-digit effect), encouraging purchase. 1–2 + development.

Section B – Essay questions**Q11**

(a) *Analyse how a business could use the product life cycle to plan its marketing.*

[8]

- Different mix at each stage: heavy promotion/skimming or penetration at introduction; build distribution in growth.
- Extension strategies in maturity; harvest/withdraw in decline.
- Manage a portfolio so new products replace declining ones.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether penetration pricing is the best strategy for launching a new product in a competitive market. **[12]**

- For: gains share/volume quickly, deters entrants, economies of scale, suits price-sensitive mass market.
- Against: low margins/slow payback, may signal low quality, hard to raise price later, price war risk; skimming/competitive/value pricing may suit innovative or premium products.
- Judgement: best where the market is price-sensitive and scale matters; not best for differentiated/innovative goods. Depends on product and rivals.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse the factors a business should consider when choosing a channel of distribution. **[8]**

- Nature of product (perishable, technical, bulky), target market and their buying habits.
- Cost/margin, control of brand, reach/coverage, competitors' channels.
- Digital capability and speed.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that digital promotion has made traditional advertising unnecessary. **[12]**

- For digital: cheaper, targeted, measurable, interactive, growing reach, essential for e-commerce.
- Against: traditional (TV, print, outdoor) still reaches mass/older audiences, builds brand, high trust; ad-blocking/fraud online; best mix depends on audience.
- Judgement: digital is dominant and growing but not a total replacement; an integrated mix is usually best. Depends on target market and budget.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how strong branding can benefit a business. **[8]**

- Recognition, trust and loyalty -> repeat purchase and premium pricing.
- Easier launch of new products (brand extension); differentiation; bargaining power with retailers.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'The product is the most important element of the marketing mix.' Evaluate this view.

[12]

- For product: without a good product meeting needs, price/promotion/place cannot succeed; USP drives everything.
- Against: a great product fails with wrong price, poor promotion or unavailability; the Ps are interdependent; in some markets price/place dominate.
- Judgement: product is fundamental but not sufficient; the whole, consistent mix matters. Importance varies by market.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse how a business could use the Boston Matrix to make marketing decisions.

[8]

- Invest in stars (high growth, high share) to become future cash cows.
- Use cash-cow revenue to fund stars/question marks; decide which question marks to back or drop.
- Divest dogs; aim for a balanced portfolio.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the usefulness of the product life cycle model for making marketing decisions.

[12]

- For: guides mix changes, extension strategies and portfolio planning; simple/widely used.
- Against: hard to know the current stage; not all products follow the curve (fads, classics); length of stages varies; can become self-fulfilling if withdrawal is premature.
- Judgement: a useful planning tool if used flexibly alongside data, not a precise predictor. Depends on product/market.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Aurora Electronics rebalances its portfolio

Q15

Define the term 'product portfolio'.

[2]

- The range/collection of products a business sells (1) across different markets/segments (1).

Q16

Using Table 1, classify each of the four products using the Boston Matrix.

[4]

- ClassicPhone = Cash cow (low growth, high share).
- FoldX = Question mark (high growth, low share).
- Smart-watch = Star (high growth, high share).
- MP3 player = Dog (low growth, low share).
- 1 mark each.

Q17

Explain why ClassicPhone is described as generating 'strong cash' despite low market growth.

[4]

- High share in a mature market gives high sales with low investment need (no growth to fund).
- Established product, economies of scale, low promotion cost -> net cash inflow (cash cow).
- 1–2 + development.

Q18

Analyse whether price skimming or penetration pricing is more suitable for the FoldX launch.

[6]

- Skimming: patented technology, few competitors, early adopters pay premium, recovers R&D.
- Penetration: builds share fast in a high-growth market but sacrifices margin and may not suit a premium/innovative product.

Level 2 (4-6)

Weighs both using the case.

Level 1 (1-3)

States methods, limited application.

Q19

Analyse how Aurora could use the cash from ClassicPhone to strengthen its portfolio.

[8]

- Reinvest in the star (smart-watch) and question mark (FoldX) to build/keep share in growing markets.
- Fund R&D/promotion so FoldX becomes a future star; consider dropping the MP3 dog.
- Balances the portfolio for long-term revenue as ClassicPhone eventually declines.

Level 3 (6-8)

Developed analysis using Boston logic and the case.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend a marketing strategy for FoldX, including pricing and promotion. Justify your recommendation using the case.

[12]

Pricing

- Skimming suits its patented tech and premium positioning; lower later as rivals enter.

Promotion

- Digital and targeted launch to early adopters/tech enthusiasts; stress USP (foldable innovation).

Portfolio link

- Fund the launch from ClassicPhone cash; aim to convert the question mark into a star in the high-growth market.

Judgement

- Supported recommendation weighing margin vs share; e.g. skim initially to fund investment and signal premium quality, then reduce price to build share as the market grows. Acknowledge risk of rivals/patents expiring.

Level 4 (10-12)

Balanced, uses case, justified recommendation across the mix.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 10 – MARK SCHEME

The nature of operations

Section A – Short-answer questions

Q1

(a) Define the 'transformational process'.

[2]

- The process of converting inputs (resources) into outputs (goods/services) (1) that have greater value to customers (1).

(b) Explain, using an example, how a bakery adds value through the transformational process.

[5]

- Inputs: flour, labour, ovens (capital), enterprise.
- Transformation: mixing and baking turns cheap ingredients into bread/cakes.
- Output sells for far more than input cost -> value added.
- Up to 5 for applied explanation.

Q2

(a) Define 'labour productivity'.

[2]

- Output per worker per period (1); a measure of how efficiently labour is used (1).

(b) A factory of 20 workers produces 6,400 units a week. Calculate labour productivity and explain one way to raise it.

[5]

Labour productivity = 6,400 / 20 = 320 units per worker per week

- Raise via training, better machinery/automation, motivation or improved methods.
- 2 calc + up to 3 explanation.

Q3

(a) Distinguish between efficiency and effectiveness.

[4]

- Efficiency: producing output with the least waste of resources/cost (2).
- Effectiveness: achieving the intended objective/meeting customer needs (2).

(b) Explain why a business can be efficient but not effective.

[3]

- It may produce cheaply/quickly (efficient) but make the wrong product that customers don't want (not effective). 1 + 2.

Q4

(a) Define 'sustainability' in operations.

[3]

- Meeting present needs (1) without harming the ability of future generations to meet theirs (1) – minimising environmental/resource damage in production (1).

(b) Analyse one benefit and one cost to a business of making operations more sustainable.

[6]

- Benefit: lower long-term costs (energy/waste), better reputation, meets regulation/customer demand.
- Cost: high upfront investment (new equipment/processes), possible higher short-term unit cost.

Level 2 (4-6)

Both sides analysed with development.

Level 1 (1-3)

Identifies a benefit/cost, limited development.

Q5

(a) Distinguish between capital-intensive and labour-intensive operations.

[4]

- Capital-intensive: production relies mainly on machinery/technology (2).
- Labour-intensive: production relies mainly on human effort/workers (2).

(b) Explain one benefit of capital-intensive production.

[3]

- Consistent quality, high output/low unit cost at volume, works continuously, fewer labour disputes. 1 + 2.

Q6

(a) Define 'job production'.

[2]

- Producing one-off/custom items individually to a customer's specific requirements (1), e.g. a tailored suit or a bridge (1).

(b) Analyse two advantages of job production.

[6]

- Meets exact customer needs -> can charge premium prices.
- Flexible, high quality, motivating/varied work for staff.

Level 2 (4-6)

Two advantages analysed with development.

Level 1 (1-3)

Identifies advantages, limited development.

Q7

(a) Define 'flow production'.

[2]

- Continuous mass production of standardised products on a production line (1), each stage flowing to the next (1).

(b) Explain one disadvantage of flow production.

[4]

- High set-up cost, inflexible/hard to customise, breakdowns halt the whole line, repetitive/demotivating work. 1–2 + development.

Q8

(a) Define 'batch production'.

[2]

- Producing groups (batches) of identical products (1) that move through each stage together before switching to the next product (1).

(b) Explain one problem of changing from batch to flow production.

[4]

- High investment in line/equipment, retraining, downtime during changeover, loss of flexibility, redundancy costs. 1–2 + development.

Q9

(a) Define 'mass customisation'.

[3]

- Using flexible (often automated) production (1) to produce large volumes of products tailored to individual customer preferences (1) at near mass-production cost (1).

(b) Explain one benefit of mass customisation to a business.

[3]

- Combines economies of scale with personalisation -> customer satisfaction and premium potential without full job-production cost. 1 + 2.

Q10

(a) State the four factors of production used in operations.

[2]

- Land, labour, capital, enterprise (all four for 2).

(b) Analyse how improving productivity can make a business more competitive.

[6]

- Higher output per worker/machine lowers unit costs -> lower prices or higher margins.
- Can meet demand faster, fund investment, and compete on price/quality.

Level 2 (4-6)

Developed analysis linking productivity to competitiveness.

Level 1 (1-3)

States link, limited development.

Section B – Essay questions

Q11

(a) *Analyse the factors a business should consider when choosing between labour-intensive and capital-intensive production.*

[8]

- Scale/volume of output and demand stability; capital suits high, steady volumes.
- Cost/availability of labour vs capital; product (bespoke favours labour).
- Finance available; need for flexibility vs consistency; skills.

Level 3 (6-8)

Developed analysis of several factors.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate whether investing to improve productivity is always the best way to raise competitiveness.*

[12]

- For: lower unit costs, higher output, better prices/margins, funds further investment.
- Against: high cost/risk, may cut jobs/morale, quality or differentiation may matter more than cost; competitiveness also from branding, service, innovation.
- Judgement: depends on the basis of competition (cost vs differentiation) and finance; productivity matters but is not always the best route.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse the benefits and drawbacks of flow production for a car manufacturer.*

[8]

- Benefits: low unit cost at volume, consistent quality, high output, automation.
- Drawbacks: huge set-up cost, inflexibility, breakdown risk halts line, demotivating work.

Level 3 (6-8)

Developed analysis both sides.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the impact on a business of investing to make its operations more sustainable.*

[12]

- For: lower long-run energy/waste costs, reputation/brand, meets regulation and customer/investor demand, risk reduction.
- Against: high upfront cost, longer payback, possible higher short-term unit cost, uncertain returns, competitors may not.
- Judgement: increasingly worthwhile as regulation/consumer pressure rise; depends on cost, payback and market; net positive long-term for many firms.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how a business might raise labour productivity.

[8]

- Training and better methods; investment in machinery/automation.
- Motivation (financial and non-financial), better management, reduced waste/downtime.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'Mass customisation offers the best of both job and flow production.' Evaluate this view.

[12]

- For: personalisation (like job) with volume/low cost (like flow) via flexible automation; customer satisfaction plus scale.
- Against: requires heavy investment in flexible technology/IT, complex operations and supply chains; not suitable for all products; can raise costs/complexity.
- Judgement: powerful where technology and demand for personalisation exist; not universally best. Depends on product, market and investment capacity.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse how effectiveness differs from efficiency in judging operational performance.

[8]

- Efficiency = resource use/cost per unit; effectiveness = meeting objectives/customer needs.
- A firm can be efficient yet ineffective (wrong product) or effective yet inefficient (high cost).
- Both needed for competitiveness.

Level 3 (6-8)

Developed analysis with examples.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether a small furniture maker should switch from job to batch production as demand grows.

[12]

- For: batch raises volume/lower unit cost, meets growing demand, some economies of scale.
- Against: loses bespoke/premium appeal and flexibility, needs investment/retraining, downtime and possible redundancies, may erode USP.
- Judgement: depends on whether customers value customisation or lower price, finance and demand size; perhaps a hybrid (batch for standard ranges, job for bespoke).

Level 4 (10-12)

Balanced, supported judgement, contextual.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Handcraft vs machine at Terra Ceramics

Q15

Define the term 'capital-intensive production'.

[2]

- Production that relies mainly on machinery/technology rather than labour (2).

Q16

Using Table 1, calculate labour productivity (tiles per worker per week) for the Artisan range.

[3]

2,000 / 25 = 80 tiles per worker per week

- 2 method + 1 answer (80).

Q17

Using Table 1, calculate the added value per tile for the Everyday range.

[3]

Added value per Everyday tile = price \$3.50 - unit cost \$1.10 = \$2.40 (accept price minus bought-in cost basis).

- Note: Artisan added value per tile = \$11.00 - \$4.20 = \$6.80.
- 2 method + 1 answer.

Q18

Explain one reason Terra wants to keep the Artisan range labour-intensive.

[4]

- Handmade craftsmanship is the brand's USP -> premium price (\$11) and high added value (\$6.80).
- Automating it could damage the handmade image and quality perception.
- 1–2 + development.

Q19

Analyse the benefits to Terra of investing in the automated flow line for the Everyday range.

[8]

- Massive output rise (2,000 -> 30,000/week) and much lower unit cost (\$1.10) -> competes with cheap imports.
- Consistent quality, meets growing demand and long lead times, higher total volume.
- Frees premium capacity/reputation while capturing the mass market.

Level 3 (6-8)

Developed analysis using data.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend whether Terra should proceed with the \$1.8m investment and sustainability measures.

[12]

Justify your answer using the case and data.

For

- Meets demand, low unit cost to fight imports, growth, long-run sustainability savings/reputation.

Against / risks

- \$1.8m cost/financing and payback risk; only 8 jobs vs 25 -> possible redundancies/morale; risk to handmade brand if Everyday confuses positioning.

Judgement

- Supported recommendation, e.g. proceed but keep the two ranges/brands clearly separate to protect Artisan's

premium image, redeploy/retrain staff, and stage sustainability spend to manage cash. Weigh growth/competitiveness vs cost and brand risk.

Level 4 (10-12)

Balanced, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 11 – MARK SCHEME**Inventory management, JIT and the supply chain****Section A – Short-answer questions****Q1**

(a) *State the three types of inventory a manufacturer holds.*

[3]

- Raw materials (1), work in progress (1) and finished goods (1).

(b) *Explain two benefits to a business of holding inventory.*

[6]

- Meets unexpected demand/avoids stock-outs and lost sales.
- Allows production to continue if deliveries are late (buffer).
- Enables bulk-buying discounts; smooths seasonal demand.

Marks

- Up to 3 per benefit.

Q2

(a) *Define 'buffer inventory'.*

[2]

- A minimum level of inventory held as a safety margin (1) to cover unexpected demand or delivery delays (1).

(b) *Explain one cost of holding too much inventory.*

[4]

- Storage, insurance, obsolescence/spoilage, and cash tied up (opportunity cost) that could be used elsewhere.
1–2 + development.

Q3

(a) *Define 'lead time'.*

[2]

- The time between placing an order with a supplier and receiving the goods (2).

(b) *Explain how a longer lead time affects the re-order level.*

[4]

- Longer lead time means stock must be re-ordered earlier/at a higher level to avoid running out before delivery.
1–2 + development.

Q4

(a) *Define 're-order level'.*

[2]

- The inventory level at which a new order is automatically placed (1) to replenish stock before it runs out (1).

(b) *On an inventory control chart, explain what the gap between maximum inventory and buffer inventory represents.*

[4]

- The usable/working stock that is drawn down between deliveries; the re-order quantity brings it back to maximum. 1–2 + development.

Q5

(a) *Define 'Just in Time (JIT)'.*

[3]

- An inventory approach where materials arrive exactly when needed for production (1), minimising stock held (1) to cut holding costs (1).

(b) *Explain one requirement for JIT to work successfully.*

[3]

- Reliable suppliers/frequent deliveries, good relationships, accurate demand forecasting, quality inputs. 1 + 2.

Q6

(a) *Distinguish between JIT and JIC (Just in Case).*

[4]

- JIT: minimal stock, delivered as needed – low holding cost but vulnerable to disruption (2).
- JIC: holds buffer stock 'just in case' – secure supply but higher holding costs (2).

(b) Explain one situation where JIC is more appropriate than JIT.

[3]

- Unreliable supply chains, volatile demand, or where stock-outs are very costly (e.g. hospitals). 1 + 2.

Q7

(a) Define 'supply chain management'.

[3]

- The management of the flow of materials, goods and information (1) from suppliers through production to the final customer (1) to improve efficiency and reliability (1).

(b) Analyse why effective supply chain management is important to a business.

[6]

- Ensures reliable, cost-effective supply of the right materials at the right time.
- Reduces costs, lead times and stock-outs; improves quality and customer satisfaction.
- Builds resilience against disruption.

Level 2 (4-6)

Developed analysis of importance.

Level 1 (1-3)

States importance, limited development.

Q8

(a) Explain what happens to inventory levels if usage suddenly rises but the re-order level is unchanged.

[4]

- Stock is drawn down faster and may fall below buffer/run out before the next delivery -> stock-out risk. 1–2 + development.

(b) State two costs of running out of inventory (a stock-out).

[3]

- Any: lost sales/revenue, dissatisfied customers, halted production, idle labour, damaged reputation. 1–2 + 1.

Q9

(a) Define 'work in progress'.

[2]

- Partly finished goods that are still being processed (1) – between raw materials and finished output (1).

(b) Explain one way a business could reduce the amount of cash tied up in inventory.

[4]

- Adopt JIT/lower buffer, improve forecasting, faster stock turnover, better supplier links. 1–2 + development.

Q10

(a) Define 'economic order quantity' (in simple terms).

[2]

- The order size that minimises total inventory costs (1) – balancing ordering costs against holding costs (1).

(b) Analyse the trade-off between ordering in large batches and ordering little and often.

[6]

- Large batches: bulk discounts, fewer orders, but high holding cost and cash tied up/obsolescence risk.
- Small frequent orders (JIT): low holding cost but higher ordering/delivery cost and stock-out risk.

Level 2 (4-6)

Developed analysis of the trade-off.

Level 1 (1-3)

States trade-off, limited development.

Section B – Essay questions

Q11

(a) Analyse the costs and benefits to a business of holding high levels of inventory.

[8]

- Benefits: avoids stock-outs/lost sales, buffers against delivery/demand fluctuations, bulk discounts, smooth production.
- Costs: storage, insurance, obsolescence, and cash tied up (opportunity cost).

Level 3 (6-8)

Developed analysis both sides.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether a manufacturer should adopt a JIT approach to inventory.

[12]

- For: cuts holding costs, frees cash/space, reduces waste/obsolescence, encourages efficiency and quality.
- Against: highly vulnerable to supply disruption (strikes, transport, global shocks), needs reliable suppliers and forecasting, loses bulk discounts, stock-out risk.
- Judgement: suits stable demand and reliable supply chains; risky where supply is uncertain – many now hold some buffer (hybrid). Depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how effective supply chain management can improve a business's competitiveness.

[8]

- Lower input costs and lead times -> lower prices/faster delivery.
- Reliable quality and availability -> customer satisfaction/retention.
- Resilience and flexibility to respond to demand changes.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that holding buffer inventory is a waste of money.

[12]

- For: buffer stock ties up cash, incurs storage/obsolescence cost, and can hide inefficiency.
- Against: protects against stock-outs, delivery delays and demand spikes; avoids costly lost sales/production halts; vital where supply is unreliable.
- Judgement: not a waste if it prevents greater losses; the right buffer balances holding cost against stock-out cost. Depends on supply reliability and demand volatility.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how a business could interpret an inventory control chart to manage stock.

[8]

- Read maximum, re-order and buffer levels; monitor the rate of stock usage.
- Identify when to re-order (at re-order level) and spot abnormal usage or delivery delays.
- Adjust re-order level/quantity as lead time or demand changes.

Level 3 (6-8)

Developed analysis referencing the chart.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) Evaluate whether building resilience into the supply chain is worth the extra cost.***[12]**

- For: protects against disruption (pandemics, wars, supplier failure), avoids costly shutdowns/lost sales, protects reputation.
- Against: dual-sourcing/extra stock/local suppliers raise costs and reduce JIT savings; disruptions may be rare.
- Judgement: increasingly worthwhile given recent global shocks; depends on the likelihood and cost of disruption vs the cost of resilience.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14*(a) Analyse the factors that determine the re-order level and re-order quantity a business should set.***[8]**

- Lead time and its reliability; rate of usage/demand and its variability.
- Cost of holding vs ordering; storage capacity; supplier discounts and reliability.
- Risk/cost of a stock-out.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

*(b) 'A JIC (Just in Case) approach is safer and therefore always better than JIT.' Evaluate.***[12]**

- For JIC: security of supply, no stock-outs, copes with demand spikes and unreliable suppliers.
- Against: high holding costs, cash tied up, obsolescence/waste; JIT is cheaper and leaner where supply is reliable.
- Judgement: 'safer' but not always 'better' – depends on cost of holding vs cost of disruption; many firms use a hybrid. Context-dependent.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Stock trouble at Vela Furniture**Q15***Define the term 'lead time'.***[2]**

- Time between placing an order and receiving the goods (2).

Q16

Using Table 1, calculate the re-order level for the key component.

[3]

Re-order level = buffer + (usage during lead time) = 800 + (1,600 × 1) = 2,400 units

- 2 method + 1 answer (2,400).

Q17

Using Table 1, estimate the annual holding cost of the buffer inventory.

[3]

Buffer holding cost ~ 800 units × \$3 = \$2,400 per year (accept average-stock reasoning if shown).

- 2 method + 1 answer.

Q18

Explain one drawback Vela is experiencing from holding large buffer stocks.

[4]

- High storage costs and cash tied up (tight cash flow), plus obsolescence when designs change.
- 1–2 + development using the case.

Q19

Analyse the risks to Vela of moving to a JIT system after the recent shipping delay.

[8]

- JIT removes the buffer that currently protects against delays -> stock-outs would halt lines (as happened) more often.
- Relies on reliable, fast local suppliers; imported parts have long, uncertain lead times.
- Lost output/sales and idle labour if supply fails; but frees cash and cuts storage/obsolescence.

Level 3 (6-8)

Developed analysis of JIT risks using the case.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend an inventory strategy for Vela (e.g. full JIT, more local sourcing, or larger buffers). Justify your recommendation using the case and data.

[12]**Options**

- Full JIT (cuts cost/cash but risky with imports); bigger buffers (secure but costly/obsolescence); hybrid with local sourcing.

Use of data

- Tight cash favours cutting stock; but the recent 2-week stock-out shows disruption risk; re-order level 2,400 with buffer 800 is exposed to long import lead times.

Judgement

- Supported recommendation, e.g. adopt a hybrid – source key/at-risk components locally with modest buffers and apply JIT to reliable, low-risk parts; keep a control system with sensible re-order levels. Balances cash pressure against stock-out risk.

Level 4 (10-12)

Balanced, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 12 – MARK SCHEME

Capacity utilisation, outsourcing & operations decisions

Section A – Short-answer questions

Q1

(a) Define 'capacity utilisation'.

[2]

- The proportion of a business's maximum possible output that is currently being used (1), expressed as a percentage (1).

(b) A factory with maximum output of 5,000 units produces 3,750. Calculate its capacity utilisation.

[3]

Capacity utilisation = $(3,750 / 5,000) \times 100 = 75\%$

- 2 method + 1 answer (75%).

Q2

(a) State the formula for capacity utilisation.

[2]

- $(\text{Current output} / \text{maximum possible output}) \times 100$ (2).

(b) Analyse two problems of operating at very low capacity utilisation.

[6]

- Fixed costs spread over few units -> high unit cost/low profit.
- Idle machinery/labour, low morale, sign of low demand.
- Uncompetitive pricing.

Level 2 (4-6)

Two problems analysed with development.

Level 1 (1-3)

Identifies problems, limited development.

Q3

(a) Explain one problem of operating at or above maximum capacity for a long period.

[4]

- No slack for extra orders/maintenance; overworked staff/machines -> breakdowns, quality falls, stress, missed deliveries. 1–2 + development.

(b) State two ways a business could increase its capacity.

[3]

- Any: invest in more machinery/premises, hire more staff, add shifts/overtime, outsource, improve productivity. 1–2 + 1.

Q4

(a) Explain two ways a business could improve low capacity utilisation.

[6]

- Increase demand (marketing/new markets/price cuts).
- Reduce capacity (rationalise – close a line/site, sell assets).
- Subcontract/produce for other firms; diversify.

Marks

- Up to 3 per method.

(b) Explain why high capacity utilisation reduces unit costs.

[3]

- Fixed costs are spread over more units, lowering fixed cost per unit and total average cost. 1 + 2.

Q5

(a) Define 'outsourcing'.

[2]

- Contracting out a business activity/process to an external provider (1) rather than doing it in-house (1).

(b) Analyse one benefit and one drawback of outsourcing production.

[6]

- Benefit: lower costs, access to specialist expertise/capacity, flexibility, focus on core activities.

- Drawback: less control over quality/timing, reliance on supplier, possible reputation/ethical risk, communication issues.

Level 2 (4-6)

Both sides analysed with development.

Level 1 (1-3)

Identifies a benefit/drawback, limited development.

Q6

(a) *Explain the relationship between capacity utilisation and profitability.* [4]

- Higher utilisation spreads fixed costs -> lower unit costs -> higher profit per unit, provided demand exists. 1–2 + development.

(b) *State two reasons a business might deliberately keep some spare capacity.* [3]

- Any: cope with demand surges/seasonality, allow maintenance, flexibility for new orders, avoid overworking staff/machines. 1–2 + 1.

Q7

(a) *Define 'rationalisation'.* [2]

- Reducing capacity/resources (e.g. closing sites or cutting lines) (1) to cut costs and raise efficiency/utilisation (1).

(b) *Explain one risk of rationalising to improve capacity utilisation.* [4]

- May be unable to meet future demand upturns, redundancy costs/morale, loss of skills. 1–2 + development.

Q8

(a) *Explain how outsourcing can help a business manage fluctuating demand.* [4]

- Extra demand can be met by subcontracting without investing in permanent capacity; scale up/down flexibly. 1–2 + development.

(b) *State two factors a business should consider before outsourcing.* [3]

- Any: supplier reliability/quality, cost saving, control needed, whether it is a core activity, ethics/reputation. 1–2 + 1.

Q9

(a) *Define 'maximum capacity'.* [2]

- The greatest output a business can produce with its existing resources in a given period (2).

(b) *Analyse how investing in new technology could raise both capacity and productivity.* [6]

- More/faster machines raise maximum output (capacity) and output per worker (productivity).
- Lowers unit costs and lead times, improving competitiveness; but high cost and possible job losses.

Level 2 (4-6)

Developed analysis.

Level 1 (1-3)

States link, limited development.

Q10

(a) *Explain why a seasonal business (e.g. an ice-cream maker) often has low capacity utilisation for part of the year.* [4]

- Demand is concentrated in certain months, leaving capacity idle off-season -> high unit costs then. 1–2 + development.

(b) *Suggest one way such a business could raise off-season capacity utilisation.* [3]

- Produce complementary counter-seasonal products, promotions, export to other hemispheres, subcontract capacity. 1 + 2.

Section B – Essay questions

Q11

(a) *Analyse the effects on a business of operating below its maximum capacity.*

[8]

- High fixed cost per unit -> higher average cost, lower profit/competitiveness.
- Idle resources, possible low morale; but spare capacity allows flexibility/new orders and maintenance.

Level 3 (6-8)

Developed analysis both effects.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the best way for a business to improve low capacity utilisation.*

[12]

- Options: raise demand (marketing/price), rationalise (cut capacity), subcontract for others, diversify.
- Trade-offs: boosting demand keeps capacity but risks unsold stock; rationalising cuts cost but limits future growth and causes redundancies.
- Judgement: depends on whether low demand is temporary or permanent and on finance; if temporary, boost demand/subcontract; if permanent, rationalise. Context-dependent.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse the impact of outsourcing on a business and its stakeholders.*

[8]

- Business: lower costs, flexibility, focus on core; but less control and reliance on suppliers.
- Employees: possible job losses/insecurity; customers: quality may rise or fall; suppliers gain work.

Level 3 (6-8)

Developed analysis across the business/stakeholders.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate whether a business should outsource a key part of its production to a lower-cost country.*

[12]

- For: significant cost savings, capacity/expertise, competitiveness.
- Against: quality/control risk, long lead times/supply disruption, communication/culture, ethical/reputation concerns, job losses at home.
- Judgement: depends on whether it is core/differentiating, cost savings vs risks, and reliability; may outsource non-core, keep core in-house. Context-dependent.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) *Analyse why operating persistently at 100% capacity could be a problem for a business.*

[8]

- No slack for extra orders, maintenance or breakdowns -> missed sales/deliveries.
- Overworked staff/machines -> quality falls, stress, higher turnover, breakdowns.
- Signals need to expand capacity (investment).

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate how a rapidly growing business should best increase its capacity.*

[12]

- Options: overtime/extra shifts (fast, flexible, but higher wage cost/fatigue), invest in machinery/premises (long-term, costly, needs finance), outsource (flexible, less control).
- Judgement: short-term/uncertain growth favours overtime/outsourcing; sustained growth justifies investment; depends on finance, demand certainty and lead time.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) *Analyse how capacity utilisation, productivity and unit costs are linked.*

[8]

- Higher utilisation spreads fixed costs -> lower fixed cost per unit.
- Higher productivity lowers variable/labour cost per unit.
- Together they cut average cost and raise competitiveness/profit.

Level 3 (6-8)

Developed analysis of the links.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *'Outsourcing always harms the workforce.' Evaluate this statement.*

[12]

- For: can cause redundancies, insecurity and lower morale among remaining staff.
- Against: can protect the business's survival (saving other jobs), let staff focus on higher-value core work, and create jobs at suppliers; retraining/redeployment possible.
- Judgement: impact depends on scale, how it is managed and whether jobs are redeployed; not always harmful. Context-dependent.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Capacity choices at Orion Bikes

Q15

Define the term 'capacity utilisation'.

[2]

- The percentage of maximum possible output currently being used (2).

Q16

Using Table 1, calculate Orion's current capacity utilisation.

[3]

$$(58,200 / 60,000) \times 100 = 97\%$$

- 2 method + 1 answer (97%).

Q17

Identify two problems shown in the case of operating near full capacity.

[2]

- Any two: rising overtime cost (\$310k); quality complaints; late deliveries (\$95k penalties); overworked staff/machines.

Q18

Using Table 1, estimate the annual saving if all 58,200 bikes used outsourced frames.

[3]

$$58,200 \times \$18 = \$1,047,600 \text{ per year}$$

- 2 method + 1 answer (~\$1.05m).

Q19

Analyse the case for and against outsourcing frame production, using the data.

[8]

- For: large saving (~\$1.05m/yr), adds capacity without \$2.5m investment, flexible if boom fades.
- Against: quality complaints already an issue – less control overseas; long lead times worsen late-delivery penalties (\$95k); reliance/ethical/reputation risk.

Level 3 (6-8)

Balanced analysis using figures.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend which option Orion should choose to deal with the capacity problem. Justify your recommendation using the case and data.

[12]

Weigh options

- New line: solves capacity long-term and quality, but \$2.5m risk if the boom fades (utilisation was only 62% in 2023). Outsourcing: big saving/flexible but control/lead-time risk. Overtime: quick but costly (\$310k) and hurting quality/delivery.

Judgement

- Supported recommendation, e.g. because the boom may be temporary, favour outsourcing and/or continued overtime for flexibility now, delaying the \$2.5m investment until demand proves sustained; or invest if confident demand is permanent. Use utilisation trend (62%→97%) to justify caution.

Level 4 (10-12)

Balanced, uses data, justified recommendation aware of demand uncertainty.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 13 – MARK SCHEME

Business finance and sources of finance

Section A – Short-answer questions

Q1

(a) *State two reasons a business needs finance.* [2]

- Any two: to start up, to fund day-to-day operations/working capital, to grow/expand, to survive a shortfall, to invest in assets.

(b) *Distinguish between a short-term and a long-term need for finance.* [5]

- Short-term: to fund day-to-day operations/working capital (e.g. wages, stock) – met by overdraft/trade credit.
- Long-term: to fund non-current assets/expansion (e.g. premises, machinery) – met by loans/share capital.
- Up to 5 for developed distinction with examples.

Q2

(a) *Explain the difference between cash and profit.* [4]

- Profit = revenue minus expenses over a period (accruals).
- Cash = actual money flowing in/out; timing differs (e.g. credit sales, loan repayments), so a profitable firm can run short of cash.

(b) *Explain one reason a profitable business might still fail.* [3]

- Liquidity crisis – cash tied up in receivables/inventory, cannot pay bills -> insolvency/liquidation. 1 + 2.

Q3

(a) *Define 'working capital'.* [2]

- The finance available for day-to-day operations (1); current assets minus current liabilities (1).

(b) *Analyse why managing working capital is important to a business.* [6]

- Ensures enough liquidity to pay suppliers, wages and short-term debts.
- Too little -> insolvency risk; too much -> idle cash/inventory (opportunity cost).
- Affects supplier/creditor relationships and survival.

Level 2 (4-6)

Developed analysis of importance.

Level 1 (1-3)

States importance, limited development.

Q4

(a) *Distinguish between trade receivables and trade payables.* [4]

- Trade receivables: money owed to the business by credit customers (2).
- Trade payables: money the business owes to its suppliers (2).

(b) *Explain one way a business could reduce its trade receivables.* [3]

- Tighter credit terms, prompt-payment discounts, debt factoring, credit checks/chasing. 1 + 2.

Q5

(a) *Distinguish between capital expenditure and revenue expenditure.* [4]

- Capital expenditure: spending on non-current assets used long-term (e.g. machinery) (2).
- Revenue expenditure: spending on day-to-day running costs (e.g. wages, materials) (2).

(b) *Explain why the distinction matters for financing decisions.* [3]

- Capital items funded by long-term finance; revenue items by short-term/current funds – matching finance to use. 1 + 2.

Q6

(a) *State two internal sources of finance.*

[2]

- Any two: retained earnings/profit, sale of unwanted assets, sale and leaseback, working capital, owner's investment.

(b) *Analyse two advantages of using retained earnings to finance expansion.*

[6]

- No interest or repayment; no loss of control (no new shares/lenders).
- Quick/flexible; available without approval; no debt on the balance sheet.

Level 2 (4-6)

Two advantages analysed with development.

Level 1 (1-3)

Identifies advantages, limited development.

Q7

(a) *Define 'share capital'.*

[2]

- Finance raised by selling shares in a company (1) to shareholders who become part-owners (1).

(b) *Explain one drawback of raising finance by issuing more shares.*

[4]

- Dilutes ownership/control and profits (dividends) among more shareholders; risk of takeover. 1–2 + development.

Q8

(a) *Distinguish between a bank loan and a bank overdraft.*

[4]

- Loan: a fixed sum borrowed and repaid with interest over a set period (long-term) (2).
- Overdraft: the ability to withdraw more than is in the account up to a limit (short-term, flexible) (2).

(b) *Explain one situation where an overdraft is more suitable than a loan.*

[3]

- Covering short-term/temporary cash shortfalls (e.g. seasonal gaps) where flexibility is needed. 1 + 2.

Q9

(a) *Define 'crowdfunding'.*

[2]

- Raising small amounts of finance from a large number of people (1), usually via an online platform (1).

(b) *Explain one benefit and one drawback of crowdfunding for a start-up.*

[4]

- Benefit: access to finance without banks, market validation/publicity. Drawback: no guarantee of reaching target, idea exposed to competitors, fees. 2 each.

Q10

(a) *Define 'venture capital'.*

[2]

- Finance provided by investors to high-risk, high-potential businesses (1) usually in return for an equity stake (1).

(b) *Analyse why a fast-growing tech start-up might prefer venture capital to a bank loan.*

[6]

- No fixed repayments/interest during early loss-making years -> protects cash flow.
- Investors bring expertise, contacts and further funding rounds.
- Banks may refuse an unproven, asset-light business; but VC means loss of some control/equity.

Level 2 (4-6)

Developed analysis using context.

Level 1 (1-3)

States reasons, limited development.

Section B – Essay questions**Q11**

(a) *Analyse how the form of business ownership affects the sources of finance available.*

[8]

- Sole trader/partnership: limited to owners' funds, loans, trade credit, retained profit – no share issue.
- Ltd: can sell shares privately; plc: can raise large equity on the stock market.
- Limited liability and track record affect lender/investor willingness.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the factors a business should consider when choosing a source of finance.*

[12]

- Cost (interest/dividends/fees), flexibility, need to retain control, use (short vs long term), level of existing debt (gearing), risk.
- Trade-offs: debt keeps control but adds fixed cost/risk; equity avoids repayment but dilutes control.
- Judgement: most important factor depends on purpose, ownership and financial position; matching source to need is key.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse why poor working-capital management can threaten a business's survival.*

[8]

- Insufficient liquidity -> cannot pay wages/suppliers/loans -> loss of credit and legal action.
- Overtrading (rapid growth with too little working capital) causes cash crises.
- Can lead to insolvency even when profitable.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate whether internal or external sources of finance are better for funding a major expansion.*

[12]

- Internal (retained profit/asset sales): no interest/repayment/dilution, but limited in size and uses up reserves.
- External (loans/shares/VC): larger sums possible, but cost, repayment, control loss or gearing risk.
- Judgement: large expansion usually needs external finance; best is often a mix; depends on size, ownership, gearing and cost.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) *Analyse the difference between cash and profit and why it matters to managers.*

[8]

- Profit is an accounting measure (accruals); cash is actual liquidity/timing.
- Credit sales, stock-building and loan repayments create gaps between the two.
- Managers must manage both – profit for viability, cash for survival.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the usefulness of leasing rather than buying non-current assets outright.*

[12]

- For leasing: no large upfront cash outlay, protects working capital, up-to-date equipment, maintenance often included.
- Against: total cost usually higher over time, asset never owned, ongoing commitment.
- Judgement: leasing suits cash-tight or fast-changing-tech situations; buying suits long-life assets when finance is available. Depends on cash position and asset type.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) *Analyse the internal sources of finance a profitable, established business could use to fund growth.*

[8]

- Retained earnings – no cost/repayment, no dilution.
- Sale of unwanted/underused assets; sale and leaseback to release cash.
- Better working-capital management to free cash.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *'A start-up should always avoid debt finance.' Evaluate this view.*

[12]

- For avoiding debt: start-ups have uncertain income; fixed repayments/interest strain cash; risk of insolvency; may lack collateral.
- Against: debt keeps ownership/control, is often the only realistic option, can be cheaper than equity, builds credit history; microfinance/overdrafts suit small needs.
- Judgement: some debt can be appropriate if repayments are affordable and used for productive assets; blanket avoidance is unwise. Depends on cash-flow certainty and cost.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Financing growth at Nova Interiors**Q15***Define the term 'working capital'.***[2]**

- Current assets minus current liabilities – finance for day-to-day operations (2).

Q16*Using Table 1, calculate Nova's working capital.***[3]****Working capital = current assets \$1.9m - current liabilities \$1.4m = \$0.5m**

- 2 method + 1 answer (\$0.5m).

Q17*Explain why Nova can be profitable yet short of cash.***[4]**

- Customers pay after 60 days (receivables \$1.1m) but Nova pays suppliers in 30 days and is building inventory -> cash outflows precede inflows.
- Profit (\$620k) is earned on paper before the cash arrives.
- 1–2 + development using the case.

Q18*Explain one way Nova could improve its cash position from working capital.***[4]**

- Reduce receivables (shorter credit terms/factoring/prompt-payment discounts), or negotiate longer supplier credit, or cut inventory.
- 1–2 + development.

Q19*Analyse two suitable sources of finance for the \$1.3m expansion (showrooms + machinery).***[8]**

- Bank loan: long-term, matches long-life assets, keeps ownership; but interest and repayments add fixed cost when cash is tight.
- Sale and leaseback of the warehouse: releases a large lump sum without new debt or dilution; but loses the asset and adds rent.
- New shares to an investor: no repayments but dilutes control (owners want to keep control).

Level 3 (6-8)

Two sources analysed against Nova's needs/constraints.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20*Recommend how Nova should finance the \$1.3m expansion. Justify your recommendation using the case and data.***[12]****Consider constraints**

- Owners want to keep control (avoid new shares) and are cautious about debt; retained earnings only \$350k; cash is tight.

Options

- Use \$350k retained earnings + a bank loan for the rest (keeps control, matches long-term assets) or sale and leaseback (avoids debt but loses asset/adds rent).

Judgement

- Supported recommendation, e.g. combine retained earnings with a moderate bank loan (low existing gearing at

\$0.3m makes debt affordable) while fixing the receivables gap to protect cash; avoid diluting control. Justify with figures.

Level 4 (10-12)

Balanced, uses data, justified recommendation respecting owners' aims.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 14 – MARK SCHEME

Cash flow, costs, contribution and break-even

Section A – Short-answer questions

Q1

(a) Define 'cash flow forecast'.

[2]

- An estimate of the expected cash inflows and outflows of a business (1) over a future period, showing opening/closing balances (1).

(b) Explain two benefits of producing a cash flow forecast.

[6]

- Identifies potential cash shortages in advance so action can be taken (arrange overdraft).
- Supports loan applications and planning; monitors performance.
- Helps time spending/investment.

Marks

- Up to 3 per benefit.

Q2

(a) A business has an opening cash balance of \$12,000, receipts of \$34,000 and payments of \$41,000 in a month. Calculate the closing balance.

[3]

Net cash flow = 34,000 - 41,000 = -\$7,000

Closing balance = 12,000 + (-7,000) = \$5,000

- 2 method + 1 answer (\$5,000).

(b) Explain one way this business could improve its cash flow.

[3]

- Delay payments/negotiate credit, chase receivables, cut costs, arrange overdraft, delay capital spending, sale and leaseback. 1 + 2.

Q3

(a) Distinguish between fixed costs and variable costs.

[4]

- Fixed costs: do not change with output (e.g. rent) (2).
- Variable costs: change directly with output (e.g. materials) (2).

(b) Distinguish between direct and indirect costs.

[3]

- Direct: can be attributed to a specific product/cost centre (e.g. direct materials); indirect (overheads): cannot (e.g. admin). 1–2 + development.

Q4

(a) Define 'contribution' (per unit).

[2]

- Selling price per unit minus variable cost per unit (1); it contributes towards fixed costs and then profit (1).

(b) A product sells for \$20 with variable cost \$12. Calculate contribution per unit and total contribution from 5,000 units.

[4]

Contribution per unit = 20 - 12 = \$8

Total contribution = 8 × 5,000 = \$40,000

- 2 + 2.

Q5

(a) Explain the difference between contribution and profit.

[4]

- Contribution = sales revenue minus total variable costs (covers fixed costs first).
- Profit = total contribution minus fixed costs; profit only arises once fixed costs are covered.

(b) State one use of contribution costing.

[3]

- Break-even analysis, special-order/make-or-buy decisions, product profitability, pricing. 1 + 2.

Q6

(a) Define 'break-even level of output'.

[2]

- The level of output at which total revenue equals total costs (1), so the business makes neither profit nor loss (1).

(b) A firm has fixed costs of \$60,000, price \$25 and variable cost \$10 per unit. Calculate the break-even output.

[4]

Contribution per unit = 25 - 10 = \$15

Break-even = fixed costs / contribution = 60,000 / 15 = 4,000 units

- 2 + 2.

Q7

(a) Define 'margin of safety'.

[2]

- The amount by which current/actual output exceeds the break-even output (1); how far sales can fall before a loss (1).

(b) Using the previous firm (break-even 4,000 units), calculate the margin of safety and profit if it sells 7,000 units.

[4]

Margin of safety = 7,000 - 4,000 = 3,000 units

Profit = margin of safety × contribution = 3,000 × 15 = \$45,000 (or total contribution 7,000 × 15 = 105,000 - FC 60,000 = \$45,000)

- 2 + 2.

Q8

(a) Distinguish between full costing and contribution costing.

[4]

- Full (absorption) costing: allocates all costs, including a share of overheads, to each product (2).
- Contribution costing: charges only variable costs to products; fixed costs treated as a period cost (2).

(b) Explain one limitation of full costing.

[3]

- Overhead allocation is often arbitrary, which can distort product costs/decisions. 1 + 2.

Q9

(a) Explain how contribution costing can help with a special order decision.

[4]

- Accept an order if its price exceeds variable cost (positive contribution), since fixed costs are already covered – it adds to profit. 1–2 + development.

(b) State one situation where contribution costing should NOT be used for pricing.

[3]

- Long-term/all pricing (fixed costs must be covered eventually); if spare capacity is not available; risk of undercharging. 1 + 2.

Q10

(a) State two uses of break-even analysis.

[2]

- Any two: set output/sales targets, assess effect of price/cost changes, support finance applications, judge margin of safety, aid decision-making.

(b) Analyse two limitations of break-even analysis.

[6]

- Assumes all output is sold and costs/price are constant (linear) – unrealistic.
- Ignores discounts/economies of scale; only as good as the data; static (one snapshot).

Level 2 (4-6)

Two limitations analysed with development.

Level 1 (1-3)

Identifies limitations, limited development.

Section B – Essay questions

Q11

(a) *Analyse how a cash flow forecast can help a business avoid a liquidity crisis.*

[8]

- Predicts months of negative closing balance in advance -> arrange finance/overdraft early.
- Guides timing of spending, credit terms and stock purchases.
- Provides an early-warning control tool; but only as accurate as its assumptions.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate the usefulness of break-even analysis to a small manufacturer.*

[12]

- For: simple, shows break-even output, margin of safety and effect of price/cost changes; aids planning and finance applications.
- Against: assumes constant price/costs and that all output is sold; ignores discounts/economies of scale; data may be inaccurate; static in a changing market.
- Judgement: a useful quick planning/decision tool if assumptions are understood; should be combined with realistic forecasts, not relied on alone.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) *Analyse how accurate cost information helps a business make better decisions.*

[8]

- Informs pricing (cover costs + margin), product mix and make-or-buy/special orders.
- Enables cost control, budgeting and profit calculation.
- Poor cost data -> mispricing/loss-making decisions.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *Evaluate whether contribution costing is more useful than full costing for decision-making.*

[12]

- For contribution: avoids arbitrary overhead allocation, ideal for short-term/special-order/make-or-buy and break-even decisions.
- Against: ignores fixed costs which must be covered long-term; risk of under-pricing; full costing better for long-run pricing and product profitability.
- Judgement: contribution is better for short-term marginal decisions with spare capacity; full costing for long-term pricing. Depends on the decision. Use both.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) *Analyse how a business could use break-even analysis to assess the effect of raising its selling price.* [8]

- Higher price raises contribution per unit -> lowers break-even output and raises margin of safety/profit at a given volume.
- But higher price may reduce quantity demanded (not shown on chart) – sales could fall.
- Chart shifts: total revenue line steeper, break-even point left.

Level 3 (6-8)

Developed analysis with the model.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) *'Cash flow is more important than profit for a new business.' Evaluate this view.* [12]

- For: new firms fail from running out of cash even if profitable on paper; cash pays wages/suppliers and ensures survival.
- Against: without profit long-term the business is not viable; profit funds growth and attracts investors; both matter.
- Judgement: in the short term/start-up phase cash is critical for survival; profit is essential for long-term viability – both needed, cash more urgent early on.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) *Analyse the assumptions on which break-even analysis is based.* [8]

- Selling price constant at all output levels; variable cost per unit constant; fixed costs constant.
- All output produced is sold (no inventory build-up); single product/mix.
- These simplify reality and limit accuracy.

Level 3 (6-8)

Developed analysis of assumptions.

Level 2 (3-5)

Some.

Level 1 (1-2)

Lists assumptions.

(b) *Evaluate how useful a cash flow forecast is, given that it is based on estimates.* [12]

- For: even estimates reveal likely shortfalls, aid planning and finance; can be updated (rolling forecast); better than no plan.
- Against: inaccurate assumptions (sales, timing, costs) can mislead; unexpected events not captured; false confidence.
- Judgement: useful as a flexible planning/monitoring tool if regularly revised and realistic; not a guarantee. Depends on quality of assumptions.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

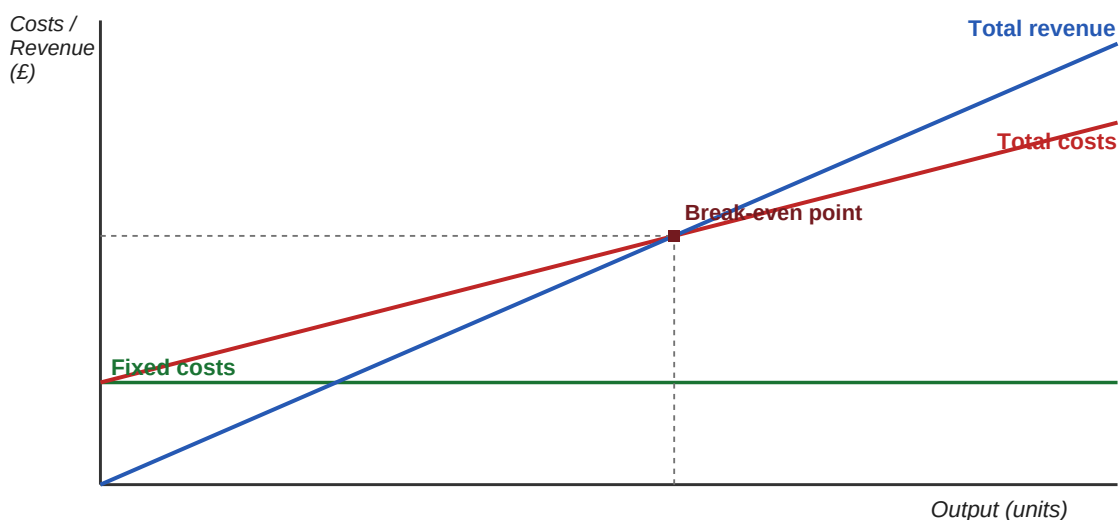
Section C – Data response: Break-even and cash at Piatto Pizza**Q15***Calculate the contribution per pizza.***[2]**

$$\text{Contribution} = 9.00 - 3.60 = \$5.40 \text{ per pizza}$$

Q16*Calculate the break-even level of output per month (in pizzas).***[3]**

$$\text{Break-even} = \text{fixed costs} / \text{contribution} = 16,200 / 5.40 = 3,000 \text{ pizzas per month}$$

- 2 method + 1 answer (3,000).



Worked chart: $TR = \$9.00Q$, $TC = \$16,200 + \$3.60Q$. Break-even where they cross at 3,000 pizzas (revenue = \$27,000). At 4,000 pizzas the margin of safety is 1,000 pizzas and profit is \$5,400.

Q17*Calculate the margin of safety and monthly profit at the expected volume of 4,000 pizzas.***[4]**

$$\text{Margin of safety} = 4,000 - 3,000 = 1,000 \text{ pizzas}$$

$$\text{Profit} = (4,000 \times 5.40) - 16,200 = 21,600 - 16,200 = \$5,400 \text{ per month}$$

- 2 + 2.

Q18*Complete the cash flow forecast (Table 1): calculate the net cash flow and closing balance for each month.***[6]**

$$\text{Month 1: net} = 28,000 - 37,000 = -\$9,000; \text{closing} = 10,000 - 9,000 = \$1,000$$

$$\text{Month 2: net} = 34,000 - 33,000 = +\$1,000; \text{opening } 1,000 \rightarrow \text{closing} = \$2,000$$

$$\text{Month 3: net} = 39,000 - 35,000 = +\$4,000; \text{opening } 2,000 \rightarrow \text{closing} = \$6,000$$

- 2 marks per month (net + closing), max 6. Own-figure rule applies.

Q19

Advise whether Piatto should accept the special catering order of 500 pizzas at \$5.00 each.

[5]

Special-order contribution = $(5.00 - 3.60) \times 500 = 1.40 \times 500 = \700 extra contribution.

- With spare capacity and fixed costs already covered, the order adds \$700 profit -> accept on contribution grounds.
- Caution: do not let regular customers expect the \$5 price (may undermine normal pricing); ensure it does not displace full-price sales.

Level 2 (3-5)

Correct contribution calc + reasoned advice with a caveat.

Level 1 (1-2)

Some calculation/assertion.

Q20

Evaluate whether break-even analysis alone is a reliable basis for the owner's decisions.

[12]

Strengths

- Quick, shows break-even (3,000), margin of safety (1,000) and profit (\$5,400); useful for planning and pricing.

Weaknesses

- Assumes constant \$9 price and \$3.60 variable cost and that all pizzas are sold; ignores demand changes, wastage, seasonality; the special order shows real pricing is more nuanced; cash timing (Table 1 shows a \$1,000 low balance in Month 1) is a separate risk.

Judgement

- Supported judgement: break-even is a helpful guide but not sufficient alone; the owner should also use the cash flow forecast and realistic demand estimates. Not fully reliable in isolation.

Level 4 (10-12)

Balanced, uses figures, clear judgement.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 15 – MARK SCHEME

Budgets, variances and integrated finance

Section A – Short-answer questions

Q1

(a) Define 'budget'.

[2]

- A financial plan for a future period (1) setting out expected income and/or expenditure/targets (1).

(b) Explain two purposes of budgeting for a business.

[6]

- Planning – sets financial targets and allocates resources.
- Control/monitoring – compares actual with budget (variance analysis).
- Motivation and coordination of departments.

Marks

- Up to 3 per purpose.

Q2

(a) Distinguish between an incremental budget and a zero-based budget.

[4]

- Incremental: based on last period's budget adjusted (e.g. +5%) (2).
- Zero-based: every item must be justified from zero each period (2).

(b) Explain one advantage of zero-based budgeting.

[3]

- Avoids carrying forward waste/unnecessary spending; forces justification and efficient allocation. 1 + 2.

Q3

(a) Define 'flexible budget'.

[3]

- A budget that is adjusted to reflect the actual level of activity/output (1), so costs are compared at the achieved output (1) rather than the original planned output (1).

(b) Explain why a flexible budget can give a fairer measure of performance.

[3]

- It compares actual costs with what they should be at the actual output, isolating true over/under-spending from volume differences. 1 + 2.

Q4

(a) Define 'variance'.

[2]

- The difference between a budgeted (planned) figure and the actual figure (1) for income or costs (1).

(b) Distinguish between a favourable and an adverse variance.

[4]

- Favourable: actual result is better than budget (higher revenue/profit or lower cost) (2).
- Adverse: actual result is worse than budget (lower revenue/profit or higher cost) (2).

Q5

(a) Budgeted materials cost was \$40,000; actual was \$46,000. Calculate the variance and state whether it is favourable or adverse.

[3]

Variance = 46,000 - 40,000 = \$6,000 higher cost -> \$6,000 ADVERSE

- 2 calc + 1 favourable/adverse.

(b) Suggest one possible cause of this variance.

[3]

- Higher supplier prices, more waste, higher output than planned, poor purchasing. 1 + 2.

Q6

(a) Budgeted sales revenue was \$200,000; actual sales were \$224,000. Calculate the variance and state its type.

[3]

Variance = 224,000 - 200,000 = \$24,000 higher revenue -> \$24,000 FAVOURABLE

- 2 calc + 1 type.

(b) Explain one benefit of investigating variances.

[3]

- Identifies problems/successes early -> corrective action and better future budgets/control. 1 + 2.

Q7

(a) Explain how budgets can be used to measure performance.

[4]

- Actual results compared with budget targets; variances show whether departments/managers met targets and where to act. 1–2 + development.

(b) State two drawbacks of using budgets.

[3]

- Any: time-consuming, may be inaccurate, can demotivate if unrealistic, rigid/discourage flexibility, encourage 'spending up to budget'. 1–2 + 1.

Q8

(a) Explain how budgets can motivate or demotivate employees.

[4]

- Realistic, participative targets can motivate (ownership, clear goals).
- Unrealistic/imposed targets or blame for adverse variances can demotivate.

(b) Explain why involving managers in setting budgets can be beneficial.

[3]

- Increases accuracy (local knowledge), ownership and commitment to targets. 1 + 2.

Q9

(a) Explain the term 'budget holder'.

[2]

- The person/manager responsible for setting and keeping to a particular budget (1) and for explaining variances (1).

(b) Analyse how budgeting helps a business allocate and control resources.

[6]

- Allocates funds to departments in line with objectives/priorities.
- Sets spending limits; variance analysis flags overspending for control.
- Coordinates activities and prevents overspending.

Level 2 (4-6)

Developed analysis of allocation/control.

Level 1 (1-3)

States role, limited development.

Q10

(a) Explain why a favourable variance is not always a good sign.

[4]

- Lower spending might mean cut corners/quality (e.g. cheaper materials) or under-investment that harms the business later; may reflect an unrealistic budget. 1–2 + development.

(b) State one link between budgets and a business's objectives.

[3]

- Budgets translate objectives into departmental financial targets/resources to achieve them. 1 + 2.

Section B – Essay questions

Q11

(a) Analyse the benefits to a business of using budgets.

[8]

- Planning: turns objectives into financial targets and resource allocation.
- Control: variance analysis highlights problems for corrective action.
- Motivation and coordination across departments.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether zero-based budgeting is better than incremental budgeting.

[12]

- For ZBB: eliminates waste, forces justification, allocates to priorities, good in changing conditions.
- Against: very time-consuming/costly, needs skill, may cause conflict; incremental is quick, simple and stable but can carry forward inefficiency.
- Judgement: ZBB better where cost control/change is critical or budgets are large; incremental suits stable, small operations. Depends on context and resources.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how variance analysis can improve business performance.

[8]

- Identifies where actual differs from plan (favourable/adverse) and by how much.
- Prompts investigation of causes and corrective action.
- Improves future budgeting accuracy and accountability.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that budgets do more harm than good because they can demotivate staff.

[12]

- For: unrealistic/imposed targets and blame culture demotivate; rigidity and gaming (spending to budget) waste resources.
- Against: participative, realistic budgets motivate and coordinate; control and planning benefits are substantial; problems stem from misuse, not budgets themselves.
- Judgement: budgets are valuable if set participatively and realistically and used to support (not blame) staff; harm arises from poor implementation.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse why involving staff in the budgeting process can benefit a business.

[8]

- Uses front-line knowledge -> more accurate/realistic budgets.
- Increases ownership, motivation and commitment to targets.
- Improves communication and coordination.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the usefulness of budgets as a control tool in a fast-changing market.

[12]

- For: still provide targets, resource allocation and early warning via variances; flexible/rolling budgets adapt.
- Against: rapid change makes fixed budgets quickly outdated/inaccurate; can constrain responsiveness; time-consuming to revise.
- Judgement: useful if flexible/regularly updated (rolling/flexible budgets); rigid annual budgets are of limited use in volatile markets.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse how a business could respond to a large adverse cost variance.

[8]

- Investigate the cause (prices, waste, volume, efficiency).
- Take corrective action: renegotiate supplies, cut waste, improve productivity, revise processes.
- Adjust future budgets if the assumption was wrong.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'Accurate budgeting is impossible, so budgets are a waste of time.' Evaluate this statement.

[12]

- For: forecasts are estimates; unexpected events cause variances; time/cost of preparation.
- Against: budgets still guide planning, control, motivation and finance; variances are informative even when budgets are imperfect; flexible budgets cope with change.
- Judgement: perfect accuracy is not the aim – budgets add value as planning and control tools if realistic and reviewed; not a waste of time.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Budget control at Cobalt Café chain

Q15

Define the term 'adverse variance'.

[2]

- When the actual figure is worse than budget – costs higher or revenue/profit lower than planned (2).

Q16

Calculate the sales revenue variance and state whether it is favourable or adverse.

[3]

55,200 - 48,000 = \$7,200 higher revenue -> \$7,200 FAVOURABLE

- 2 + 1.

Q17

Calculate the profit variance and state its type.

[3]

16,100 - 12,000 = \$4,100 higher profit -> \$4,100 FAVOURABLE

- 2 + 1.

Q18

The ingredient cost variance is \$2,600 adverse. Explain why this may not indicate poor performance by the manager.

[4]

- Sales were well above budget (+\$7,200), so more customers were served -> naturally higher ingredient costs.
- An incremental (fixed) budget does not flex for the higher volume, so the 'adverse' cost variance is largely due to extra sales, not waste.
- 1-2 + development.

Q19

Analyse how using a flexible budget would give a fairer assessment of the Riverside café.

[8]

- A flexible budget adjusts cost targets to the actual (higher) level of sales/customers.
- It separates genuine efficiency/overspending from volume-driven cost rises, so the manager is judged fairly.
- Reduces demotivation and improves control accuracy.

Level 3 (6-8)

Developed analysis using the case.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend how Cobalt should budget for its cafés in future (e.g. incremental, flexible, zero-based, with more manager involvement). Justify your recommendation.

[12]**Weigh options**

- Incremental: simple but unfair for growing/variable cafés (as at Riverside). Flexible: fairer performance measure, adjusts for volume. Zero-based: controls waste but costly/time-consuming across many cafés. Participation: improves accuracy and motivation.

Judgement

- Supported recommendation, e.g. adopt flexible budgets with manager involvement so targets reflect actual customer volumes and use local knowledge, improving fairness, motivation and control; perhaps periodic zero-based reviews of overheads. Justify using Riverside's variances.

Level 4 (10-12)

Balanced, uses case, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

PAPER 16 – MARK SCHEME

Mixed / synoptic paper (all AS topics)

Section A – Short-answer questions

Q1

(a) Define 'added value'.

[2]

- Difference between the price a customer pays and the cost of bought-in inputs (2).

(b) Explain two ways a business could increase the value it adds.

[6]

- Branding/USP to justify a higher price; improved design/features.
- Reducing input costs (bulk buying/efficiency) without cutting price.

Marks

- Up to 3 per way.

Q2

(a) Define 'limited liability'.

[2]

- Owners' losses are limited to the amount they invested (1); personal assets are protected (1).

(b) Explain one reason a growing business might change from a partnership to a private limited company.

[4]

- Limited liability, easier to raise capital, continuity. 1–2 + development.

Q3

(a) Define 'labour turnover'.

[2]

- Percentage of the workforce leaving over a period (2).

(b) Analyse two consequences of high labour turnover.

[6]

- Higher recruitment/training costs; loss of experienced staff.
- Disruption, lower morale and poorer customer service.

Level 2 (4-6)

Two consequences analysed.

Level 1 (1-3)

Identifies, limited development.

Q4

(a) Distinguish between financial and non-financial motivators.

[4]

- Financial: money-based rewards (pay, bonus, commission) (2).
- Non-financial: non-monetary methods (job enrichment, recognition, empowerment) (2).

(b) Explain one non-financial method of motivation.

[3]

- Job enrichment/empowerment/teamwork/recognition – developed. 1 + 2.

Q5

(a) Define 'market segmentation'.

[2]

- Dividing a market into distinct groups with similar characteristics/needs (2).

(b) Explain two benefits of market segmentation.

[6]

- More precise targeting -> less waste/higher response.
- Tailored products/prices -> higher satisfaction/premium.

Marks

- Up to 3 per benefit.

Q6

(a) Define 'capacity utilisation'.

[2]

- Percentage of maximum output currently being used (2).

(b) A firm produces 8,400 units against a maximum of 12,000. Calculate capacity utilisation and explain one problem of low utilisation.

[5]

$$(8,400 / 12,000) \times 100 = 70\%$$

- Low utilisation spreads fixed costs over few units -> high unit cost/low profit.
- 2 calc + up to 3 explanation.

Q7

(a) Define 'contribution per unit'.

[2]

- Selling price per unit minus variable cost per unit (2).

(b) A product sells for \$30, variable cost \$18, fixed costs \$48,000. Calculate the break-even output.

[4]

$$\text{Contribution} = 30 - 18 = \$12$$

$$\text{Break-even} = 48,000 / 12 = 4,000 \text{ units}$$

- 2 + 2.

Q8

(a) Distinguish between cash and profit.

[4]

- Profit = revenue - expenses (accruals); cash = actual money in/out (timing differs) (2+2).

(b) Explain why a profitable business can run out of cash.

[3]

- Cash tied up in receivables/inventory or spent on assets/loan repayment while profit is only on paper. 1 + 2.

Q9

(a) Define 'corporate social responsibility (CSR)'.

[2]

- A business acting ethically and considering its impact on society and the environment (2).

(b) Analyse one benefit and one cost of CSR to a business.

[6]

- Benefit: reputation/loyalty, staff motivation, differentiation.
- Cost: higher operating costs may reduce short-term profit.

Level 2 (4-6)

Both sides analysed.

Level 1 (1-3)

Identifies, limited development.

Q10

(a) Define 'variance'.

[2]

- Difference between a budgeted figure and the actual figure (2).

(b) Budgeted profit was \$90,000; actual was \$78,000. Calculate the variance and state its type.

[3]

$$90,000 - 78,000 = \$12,000 \text{ lower profit} \rightarrow \$12,000 \text{ ADVERSE}$$

- 2 + 1.

Section B – Essay questions**Q11**

(a) Analyse how the objectives of a business might change as it moves from start-up to a large plc.

[8]

- Start-up: survival/cash flow; growth phase: market share/expansion.
- Established plc: profit maximisation/shareholder value, possibly CSR.
- Objectives shift with ownership, size, competition and the economy.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether motivation or effective management is more important to business success.

[12]

- Motivation: raises productivity, quality, retention; but needs direction.
- Management: plans, organises, controls and leads; poor management wastes a motivated workforce.
- Judgement: interdependent – good management creates the conditions for motivation; neither sufficient alone. Depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q12

(a) Analyse how a business could use the marketing mix to launch a new product successfully.

[8]

- Product: clear USP meeting researched needs; Price: penetration/skimming as appropriate.
- Promotion: targeted (often digital) to build awareness; Place: suitable channels.
- The 4Ps must be consistent.

Level 3 (6-8)

Developed, applied analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate the view that finance is the most important functional area for a new business.

[12]

- For: without cash/finance the business cannot start, operate or survive; cash-flow failure is a top cause of collapse.
- Against: marketing (demand), operations (delivery) and HRM (people) are equally vital; weak in any area causes failure; areas are interdependent.
- Judgement: finance is critical for survival, especially early on, but success needs all functions working together. Depends on stage/context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q13

(a) Analyse how improving productivity could affect a business's costs and competitiveness.

[8]

- Higher output per worker/machine -> lower unit costs.
- Enables lower prices or higher margins and faster delivery.

- Improves competitiveness; but investment/training cost and possible job cuts.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) Evaluate whether a business should always prioritise the interests of its shareholders over other stakeholders.

[12]

- For: owners risk capital; profit funds survival/investment.
- Against: ignoring employees, customers, community harms reputation, morale and long-term value; stakeholder balance often best serves shareholders long-term.
- Judgement: depends on time horizon; balancing stakeholders usually maximises long-run shareholder value.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Q14

(a) Analyse the factors a business should consider when choosing a source of finance for expansion.

[8]

- Cost (interest/fees/dividends), need to retain control, use (short vs long term).
- Existing gearing/level of debt, flexibility, and risk.
- Match the source to the purpose.

Level 3 (6-8)

Developed analysis.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

(b) 'A business that manages its people well will succeed.' Evaluate this view.

[12]

- For: motivated, skilled, well-led staff raise productivity, quality, service and innovation.
- Against: also needs the right product, market, operations and finance; external factors (recession, competition) matter; good HRM is necessary but not sufficient.
- Judgement: people management is a major driver but success requires all functions and a viable strategy.
Depends on context.

Level 4 (10-12)

Balanced, supported judgement.

Level 3 (7-9)

Balanced.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided.

Section C – Data response: Zephyr Sportswear – a whole-business decision

Q15

Define the term 'brand'.

[2]

- A name/design/symbol that identifies a product and differentiates it from competitors (2).

Q16

Calculate the contribution per garment.

[2]

Contribution = 60 - 27 = \$33 per garment

Q17

Using the data, calculate Zephyr's break-even output (garments per year).

[3]

Break-even = fixed costs / contribution = 5,280,000 / 33 = 160,000 garments per year

- 2 method + 1 answer (160,000).

Q18

Explain one reason Zephyr should protect its premium brand during expansion.

[4]

- The premium brand supports high price/margin (contribution \$33) and loyalty; scaling up carelessly could dilute quality/image and lose the price premium.
- 1–2 + development.

Q19

Analyse how Zephyr should finance the expansion, given the directors' concerns.

[8]

- Low existing debt and 11% margin mean a bank loan is affordable and keeps control (no dilution).
- Retained earnings could part-fund it, protecting cash; avoid over-gearing to satisfy the cautious finance director.
- Consider matching long-term finance (loan) to long-life assets (factory).

Level 3 (6-8)

Developed analysis using data/constraints.

Level 2 (3-5)

Some.

Level 1 (1-2)

Identification.

Q20

Recommend how Zephyr should manage the expansion across marketing, operations and finance to protect its brand and grow successfully. Justify your answer.

[12]

Marketing

- Enter the new market with the premium positioning and USP; targeted digital promotion; keep selective (direct/online) distribution to protect the brand.

Operations

- Scale up gradually with quality control; automation to meet demand and cut unit cost without sacrificing quality; keep some premium lines carefully managed.

Finance

- Fund via retained earnings + a moderate loan (low gearing, keeps control), staged to manage cash.

Judgement

- Supported, integrated recommendation that balances growth with brand protection and financial prudence; phase the expansion to control quality and risk. Use figures (margin, break-even, low debt).

Level 4 (10-12)

Balanced, synoptic, uses data, justified recommendation.

Level 3 (7-9)

Balanced, some judgement/application.

Level 2 (4-6)

Limited.

Level 1 (1-3)

One-sided/assertion.

